

# **Does tenure matter: Role of the corporate secretary in Chinese listed firms**

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## **Abstract**

We study the impact of corporate secretary tenure on the governance quality of Chinese A-share listed firms. Results show that corporate secretary tenure is negatively associated with board meeting frequency, outside director in-meeting dissent and incidence of fraud and lawsuit. Key findings are robust to an array of additional tests including the instrument variable analysis, alternate internal quality governance measures such as analyst coverage, modified auditor opinion, number of mutual fund shareholders, and outside director boarding meeting absence. We also find evidence suggesting that corporate secretary duality as either board director or in other executive position has significant limiting impact on the incidence of fraud and lawsuit. Our results are robust to alternate model specifications, different boardroom efficiency measures, clustering, and an array of control variables. This study confirms the importance of corporate secretary in favor of modern corporate governance outcomes and board processes.

JEL clasificación: G15; G30; K22; M41

Keywords: corporate secretary, tenure, fraud, lawsuit, outside directors, corporate governance

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## 1. Introduction

In last two decades after a series of financial and accounting frauds, issues related to corporate governance have gained significant prominence with respect to accounting, finance and management research. Existing literature primarily talks about various monitoring mechanisms that promote governance quality (Fama and Jensen, 1983; Dyck et al., 2010). However, the empirical studies show that the impact of the governance quality is mixed for both external and internal monitors. For instance, existing literature documents that independent outside directors can have a positive, insignificant or even negative relationship with the firm-level performance (Pearce and Zahra, 1992; Mehran, 1995; Bhagat and Black, 1999, 2002). Notwithstanding the findings on the negative relation between the level of board independence and incidence of corporate fraud (Beasley, 1996; Fich and Shivdasani, 2007), we have seen cases like Enron; where even 80 percent outside director expertise on the board was unable to prevent a financial fraud (Ghoshal, 2005).

As Cohan (2002) explains, the case of Enron was primarily due to the ineffectiveness in the internal governance mechanism rather than the lack of disciplinary capabilities of the related stakeholders. Limited time and information is also one of the key constraints for the outside directors restraining them effective monitoring (Bebchuk and Fried, 2004; Kumar and Sivaramakrishnan, 2008). Hence, in line with McNulty and Stewart (2015), we believe that the coherence of good corporate governance may not solely rely on the monitors, but also on the party who plays an important role in supporting their function (Cohan, 2002; Finkelstein and Mooney, 2003; McNulty and Stewart, 2015). Therefore, instead of focusing on different monitors, in this study we pay attention to the corporate secretary, whose role has evolved from a '*humble clerk*' to the key governance officer of a firm. Despite providing little monitoring function directly, corporate secretary plays a key role in establishing a methodical board process, forming effective information channel, as well as providing guidance that facilitates the board on the issue of compliance in enhancing the governance quality (Dalton and Dalton, 2005; McNulty and Stewart, 2015).

Our study focuses on the Chinese market which being one of the fastest growing economy internationally has underdeveloped legal and financial system (Allen et al., 2005). With little support from the legal and institutional environment, the role of the corporate secretary as a *helper to the monitors* becomes even more critical and worth investigating. Furthermore, we focus on the Chinese

sample due to unique and clearly outlined role and responsibilities of the corporate secretary in China. Unlike the developed markets, which have been liberal in defining the specified roles and responsibilities of corporate secretaries in publically listed firms, China has a detailed and standardized regulatory setup to ensure that the corporate secretaries in different firms and under different corporate settings follow the same set of regulatory obligations. Furthermore, the clause that the corporate secretary being held responsible and most likely prosecuted in cases of unreported illegal actions of the board is also unique to the Chinese setting. At last, Chinese stock market regulatory authorities require firms to release the in-meeting opinions of outside directors, which makes China as a perfect and unique sample to quantitatively study the effectiveness of corporate secretary's support to the outside directors in efficiently conducting their job.<sup>1</sup>

Since the corporate secretary is a compulsory position in every A-share listed firm in China, we study their importance on governance quality by examining the impact brought by their in-firm tenure. We have been motivated to use the in-firm tenure to proxy corporate secretary effectiveness in vein with previous studies which show that working tenure is critical to managerial performance and their risk tolerance (Hambrick and Mason, 1984; Hambrick and Cannella, 1993; Clinard, 1983; Wiersema and Bantel, 1992). Our empirical results show that the tenured corporate secretaries who have better understanding of the firm and who have developed greater job-related capability can not only reduce the board meeting frequency and outside director in-meeting dissent but also the incidence of corporate fraud and related lawsuit. As a robustness checks, we employ the instrument variable analysis and also examine the impact of corporate secretary tenure on outside director absence, analyst coverage, number of mutual funds investing in the firm as well as alternative governance outcome measures. The results are all consistent with our main hypothesis. These results are in line with McNulty and Stewart (2015) which shows that the corporate secretary can have a significant influence on governance quality from several perspectives. Besides, we also find that the corporate secretary's impacts on outside director in-meeting dissent and absence behaviour are much more pronounced among Non-State Owned Enterprises (Non-SOEs), suggesting different governance features for State Owned Enterprises (SOEs) and Non-SOEs. To further explore the incentive of the corporate secretary in improving governance quality, we also investigate the influence of corporate

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<sup>1</sup> In order to keep the generalization of this research, we only test the impact of corporate secretary on governance outcomes, and leave some of their specific roles in Chinese context (*e.g.* in-charge of CSR related jobs) for future research.

secretary duality as either the board director or as other management member on incidence of firm-level corporate fraud and lawsuit. The result suggests that the duality of the corporate secretary will affect their effectiveness in improving the governance quality, and the direction of such impact actually depends on whether their interest aligns with the management team or the corporate board. Finally, we test the impact of fraud and lawsuit on corporate secretary turnover, and the result shows that the corporate secretary is more likely to be replaced or depart from the firm after the incidence of fraud and lawsuit. This suggests that the corporate secretary has great motivation to avoid the incidence of distressed governance outcomes for their own interest.

This study contributes to existing literature on corporate governance by focusing on the role of corporate secretary who may directly influence the quality of firm-level governance. Our empirical results confirm the theoretical foundation proposed in McNulty and Stewart (2015) about the importance of the corporate secretary on corporate governance. More generally, our findings advocate the research on corporate governance to extend from the effectiveness of monitors to the parties who may influence such effectiveness. Additionally, using the corporate secretary tenure as the proxy for their effectiveness on governance related factors, we add new evidence to the existing literature (see Miller, 1991; Thomas et al.; 1991; Hambrick and Cannella, 1993) on the importance of executive tenure towards their job performance and risk tolerance. At last, following Hou and Moore (2010), we are able to add some new insight on effect of varying level of governance on the performance between SOEs and Non-SOEs in the Chinese stock market.

The rest of the paper is structured as follows: in the second section we review the dynamics of the role and functions of the corporate secretary globally and the third section reviews the literature and hypotheses tested in this paper. Section four discusses the data and methodologies employed in this study, and section five reports empirical results and discussion, followed by robustness checks and further analysis in section six. A brief summary and conclusion is included in section seven.

## **2. Role of corporate secretary in fostering governance**

When introduced for the first time, the role of a corporate secretary was not distinctively defined in the legal documents. Originally, their role could be traced in the official litigation paperwork of some popular lawsuit cases in the UK dating back to the 19<sup>th</sup> century. For example, the

final judgment of the case between *Barnett, Hoares, and Corporation* and the *South London Tramways Company*<sup>2</sup> officially describes the role of a corporate secretary as follows: '*A (corporate) secretary is a mere servant; his position is that he is to do what he is told, and no person can assume that he has any authority to represent anything at all*'. This description clearly reflects the traditional view of the corporate secretary as an '*errand boy*', who primarily serves as a company clerk or an administrative staff, and has limited impact on the quality of corporate governance. However, role of the corporate secretary has evolved over time due to institutional and legal environment innovations, both in developed and emerging markets. As McNulty and Stewart (2015) document, role of the corporate secretary has now moved from backstage to the forefront. Detailed and updated legal documents and professional codes on the duties of corporate secretary released in last few decades globally require them to actively promote effective corporate governance.

By closely surveying the legal and industrial regulations across different countries, we evidently find that irrespective of varied requirements and descriptions pertaining to the duties and responsibilities of the corporate secretary, regulators basically expect them to assist in promoting and sustaining good corporate governance through developing and implementing effective board process, ensuring quality information flow among directors, management team and other stakeholders, and provide support and guidance to executives and board members to better conduct their duties. In order to simplify our analysis, we summarize role of the corporate secretary into three categories, namely company clerk role, boundary spanner role as well as guiding and facilitating role. In turn, we demonstrate that these three roles have very important implications on governance practices.

First, as shown in legal documents and industrial regulations across countries, the corporate secretary is required to play their preliminary role as the company clerk, who although does not involve in decision making but is crucial in the quality and proper working of the board processes. Compared with other frequently mentioned factors such as director shareholding, independent ratios, CEO duality or board size, board process could be even more influential in determining the board effectiveness (Finkelstein and Mooney, 2003). Corporate secretaries are responsible for scheduling the board meeting, managing the meeting agenda, preparing relevant material in advance of meeting, and drafting the meeting minutes. Despite doing what they were told to do, the quality of their work is

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<sup>2</sup> Please refer to, *Barnett, Hoares, and Corporation vs. the South London Tramways Company*, 1887, case no. – 18 QBD 815 at 827 for detailed description.

closely associated with the capacity of the board for good decision making. For example, Dalton and Dalton (2005) points out that the impediments to effective boardroom process can be easily resolved by providing directors with board materials well in advance of the meeting, and by carefully determined board meeting agenda that leaves sufficient time for board discussion and debate. Similarly, as stated in McNulty and Stewart (2015), this '*humble clerk*' side of administrative work by the corporate secretary is not a '*trivial matter*'. Instead, '*the boardroom can be seen very much within secretaries' sphere of influence*' which is very important for the board process effectiveness.

Second, as McNulty and Stewart (2015) shows, in addition to the company clerk role, corporate secretaries are also required to play the boundary spanning role to ensure quality information flow to the outside parties. With a regulatory responsibility for the information flow between the management team and the board directors, the corporate secretary should have a direct influence on the quality of the information accessible to the board. Information constraints can severely hinder the ability of even highly talented board members to effectively execute the monitoring role and to evaluate the management and firm's strategy (Jensen, 1993). Furthermore, since inside directors have access to a superior information and intimate knowledge of the firm to assist their decision making (Raheja, 2005; Harris and Raviv, 2008; Adams et al., 2010; Armstrong et al., 2015), it is the outside directors, who are conventionally considered as the centrepiece for monitoring and suffer most from information asymmetry (Raheja, 2005; Harris and Raviv, 2008). Therefore, good information flow is one of the key attributes for effective boards and the outside directors (Payne et al., 2009; Duchin et al., 2010). The corporate secretary, as discussed in McNulty and Stewart (2015), acts as the boundary spanner who operates on the boundaries between executives and non-executives and the conduit of information to, from and around the board. The ability of them to summarize, filter, interpret, draw inference from and distribute '*the right information to the right person at the right time*' is crucial in ensuring the effective performance of the outside directors and the board in general.

Third, the corporate secretary across countries is also taking over the role of guiding and facilitating the board. Board members must have clear understanding about the company compliance code as well as their duties and responsibilities before conducting their tasks. By studying the legal documents and industrial regulations, it could be found that corporate secretaries are required to guide and facilitate director training. In the U.K. market, corporate secretary acts as the chief compliance

officer who is responsible for guiding all the board members to follow a set of legal regulations while making decisions (McNulty and Stewart, 2015). Similarly, in the U.S., although it is not mandatory, the corporate secretary in many listed firms often takes the dual role of the general counsel who guides and disciplines the firm in legal and compliance matters. Besides, in some emerging countries like China and India, corporate secretaries not only conduct the guiding and facilitating role, but are also required to monitor the behaviour of the executives and board members. Without obtaining the permission from board or CEO, corporate secretaries in these countries could directly report to the stock exchange if any inappropriate behaviour has been identified. This mechanism allows the monitors (outside directors) to be monitored, and it reduces not only the agency problem between the shareholders and managers, but also the agency conflict between shareholders and outside directors (Kumar and Sivarmakrishnan, 2008; Deutsch et al., 2011). Taken together, these discussions show that the corporate secretary should be able to influence the firm-level governance quality through their guiding and facilitating role, or simply through their direct monitoring of the board members.

In brief, the role of a corporate secretary has significantly evolved overtime and it is no longer that of a '*humble clerk*' who is merely expected to follow orders from management team. Rather they act as the person who advocates the collective conscience of the company regarding efficient corporate governance (McNulty and Stewart, 2015).

### **3. Literature review and hypothesis development**

#### **3.1. The importance of management tenure**

Previous studies document the organizational tenure of the manager as an important factor that directly influences their performance and level of risk tolerance. With respect to job performance, upper echelons theory suggests that managerial tenure has significant impact on organizational outcome such as strategic decision making and organizational performance (Hambrick and Mason, 1984; Hambrick and Cannella, 1993). The empirical research has also demonstrated a positive relation between the tenure of CEO and the success in firms' acquisition strategy and international expansion due to the greater expertise, knowledge and commitment of longer tenured CEOs (Herrmann and Datta, 2002; Jaw and Lin, 2009). Sturman (2003) shows that the organizational tenure gained from working in a specific job will not only help the employee in enhancing their knowledge, but also have

a unique positive impact on their performance. A more recent study by Chen and Kao (2013) also shows that tenure has a moderate effect on the burnout-performance relationship.

With respect to the level of risk tolerance, through a survey study, Clinard (1983) shows that the middle management with shorter tenure exhibit a higher likelihood to be involved in illegal activities since they are more aggressive and inclined to focus on quick profit maximizing strategies. This survey study also shows that the CEOs with a longer tenure are more likely to become '*stale in the saddle*' i.e. unwilling to take risk. Consistent with Clinard (1983), both Miller (1991) and Thomas et al. (1991) find that CEOs with longer tenure are more likely to adopt less risky firm strategies. In addition, Wiersema and Bantel (1992) demonstrate that experienced managers reduce the probability of organizational risk taking.

As McNulty and Stewart (2015) shows, the capabilities of corporate secretaries could vary from one to another. As suggested by previous studies, tenure could be a good proxy for both performance and risk tolerance. To study the impact of corporate secretary on governance quality, we therefore focus on the serving tenure as a corporate secretary within the firm to be a proxy of their effectiveness. In the following sub-sections we will develop the hypotheses on how tenured corporate secretary may have better capacities on enhancing board meeting efficiency, provide better boundary spanning function, as well as reduce the incidence of corporate fraud and lawsuit to examine the impact of corporate secretary on firm's governance quality.

### **3.2. Corporate secretary tenure and board process efficiency**

As discussed above, preliminary and basic function of the corporate secretary is to act as a company clerk by engaging in the board meeting process. The potential impact of corporate secretary on the efficiency of board process is suggested in several studies. Keil and Nichoson (2005) for their research on board and director evaluation considers corporate secretary as an important corporate governance personnel in the firm. Dalton and Dalton (2005) mentions that the CEO and the corporate secretary need to establish an appropriate agenda for the board to ensure that all directors could timely receive the meeting material. Wan and Ong (2005) includes corporate secretary in their research on board meeting, because their interviewees largely recommended that the company secretary is important for the board meeting process.



We capture the efficiency of the board meetings by including the board meeting frequency in our empirical analysis. As Pye (2001) shows “...[Outside Director] may meet only six times a year, yet their decision-making is considered vital to their organizations and organizing. Much of their work takes place either behind closed doors or ‘back-stage’. Not the high-volume of board meeting means any good.” which explained that good director work does not require frequent board meetings. By contrast, empirical studies find that high frequency of corporate meeting will significantly harm the firm value and is positively correlated with the weakness of internal control (Vafeas, 1999; Zhang et al., 2007). Goh (2009) also argues that high frequency of corporate board meeting indicates the magnitude of the problems being faced by the firm. In the Chinese market, Chen et al. (2006) finds that board meeting frequency is positively related to the incidence of corporate fraud.

We expect tenured corporate secretary to enhance the board process efficiency and to reduce the frequency of corporate board meeting. Yet the corporate secretary does not decide the frequency of board meetings, however an experienced corporate secretary should have a better understanding of the dynamics in the board room, knowledge of the firm, and the attributes of various directors. Therefore they should have better capacities to reduce the meeting inefficiency and to increase the quality of the meeting by reducing the number of necessary meetings. Therefore, based on the above argument and literature, we propose the following hypothesis:

***H1: Longer tenure of the corporate secretary reduces the board meeting frequency.***

### **3.3. Corporate secretary tenure and outside director informativeness**

As emphasized in McNulty and Stewart (2015), corporate secretary also acts as a boundary spanner who delivers information to the outside parties. Organizational space and boundary spanning theory considers corporate secretary as one of the key helpers who assists in outside director effectiveness (McNulty and Stewart, 2015). Due to the knowledge-work complexity, level of market competition, economic conditions and change in the flat-work structure, organizational teams are required to coordinate interdependently by linking the inside of the team with the outside environment (Marrone, 2010). Such interdependent work linkage, both within the organization or across the boundary to the outside parties is termed as boundary spanning (Ancona, 1990). From the governance space perspective, information is critical for outside directors’ effectiveness, especially when they

lack relevant industry knowledge (Dass et al., 2014). Therefore, corporate secretary as a boundary space spanner should communicate information between the insider and outside directors, thereby helping the later to participate in effective decision-making process (McNulty and Stewart, 2015).

Following Jiang et al. (2016), we use the outside director in-meeting dissent behaviour to capture the effectiveness in corporate secretary's boundary spanning role. Firstly, the in-board meeting opinion of outside directors (*i.e.* outside director dissent) is a good reflection of the outside directors' effectiveness in their monitoring function. Although most of the literature about the board focus on its composition and other director-level characteristics (Pye and Pettigrew, 2005; Roberts et al., 2005 etc.), very few have studied how corporate directors can actually perform their job diligently. Adams et al. (2010) also argue that instead of asking the question of *who they are*, it will be wiser for the studies on outside directors to ask the question of *what they do*. The dissent opinion of the outside directors in board meetings is indeed a strong indicator which shows that the outside directors are effectively executing their monitoring role. Secondly, the dissent opinion of the outside directors could be an indicator of a poor quality in the corporate secretary's boundary spanning work. As Finkelstein and Mooney (2003) shows, constructive conflict between directors and management team about the proposals to be discussed in the board is very common. When the divergence in opinion between inside and outside directors appears during the board meeting, it is likely to indicate inadequate pre-meeting negotiations/communications between the two parties, which leaves the outside directors with an only choice to say 'No' publicly to proposals that the executives insist in pursuing. Since the corporate secretary acts as the boundary spanner between the outside directors and the management team, those with longer tenure with the firm should be able to better digest, understand, deliver and explain the information between the two parties before the meeting. This will help the management team to enhance the positive outcome of the pre-meeting negotiation with the outside directors, so that, if possible they can reach an agreement before the meeting commences. As Finkelstein and Mooney (2003) states, effective information flow could avoid the outside directors to stand-up and challenge the CEOs in public; *i.e.* the incidence of in-meeting dissent will hence be reduced. Based on this discussion, we propose the following second hypothesis:

**H2:** *Longer tenure of the corporate secretary reduces the incidence of outside director in-meeting dissent opinion.*

### **3.4. Corporate secretary tenure and internal control outcomes**

Jensen (1993) shows that internal control mechanisms headed by the board of directors is a very important part of corporate control. Apart from the above two roles, corporate secretaries also help in increase the internal control of the firm. For example, corporate secretary facilitates the board members in their functions by either training or guiding the directors on compliance and legal matters, or as obliged by laws in China and India, undertake a disciplinarian role on the decisions of managers and directors. In addition, corporate secretary often serves as the chief legal officer of the firm, which is an important factor that shapes the firm's corporate governance quality (Bird et al., 2015). To empirically examine the impact of corporate secretary on the quality of internal control, we focus their impact on corporate fraud and lawsuit both of which are largely induced by poor internal control (Persons, 2006; Beasley, 1996). For example, managers' fraudulent behaviour is an indicator of the weak control. Caplan (1999) shows that the incidence of management fraud is more likely to appear in firms with weaker internal control and the strength of the internal control could reflect the risk of fraud. Bell and Carcello (2000) has also documented a direct linkage between the internal control quality and the incidence of accounting fraud. Aharony et al. (2015) and Liu et al. (2016) argue that lawsuits are likely to be caused due to directors' and executives' failure in identifying the potential legal risk and also due to ineffective internal control.

We argue that the longer tenured corporate secretary could better enhance the internal control qualities and reduce the incidence of fraud and lawsuit. This argument is largely based on the following reasons. First, as Hambrick and Mason (1984) shows, tenure is related to managerial performance. Longer tenure indicates that the corporate secretary has better knowledge and understanding of the firm-specific compliance and legal issues, thereby guiding and facilitating the board in proper decision making process. Second, management tenure generally appears to have a positive association with the level of risk aversion of the senior management (Clinard, 1983; Miller, 1991; Thomas et al., 1991; Wiersema and Bantel, 1992), and it is likely that corporate secretaries will be no exception. A lower tolerance for risk will cause them to be less averse to any activities that may lead managers to conduct fraud or expose the firm to legal risk. Third, longer tenured corporate secretary who has better understanding of the operations, business strategies, financial status, and management activities of the firm should have better ability in summarizing, filtering, interpreting and

communicating the information to both internal and external board members to assist the board in monitoring the management team and driving the firm away from potential legal liabilities. At last, literature documents that managerial tenure is positively associated with managers' entrenched activities and bargaining power (Chava et al., 2010; Salas, 2010). If this is also true for the corporate secretary, then it is expected that longer tenured corporate secretaries are not only more skilled, but also have greater power, resources and support to effectively oversee and facilitate the actions of the management and board. Hence they can reduce the incidence of corporate fraud or lawsuit to protect their personal reputation and career. Based on these arguments, we propose the following hypothesis:

**H3:** *Longer tenure of the corporate secretary reduces the incidence of corporate fraud and lawsuit.*

## **4. Variable description and methodology**

### **4.1 Variable description**

In this study, we test our hypotheses using a sample of A-share Chinese firms listed on Shanghai and Shenzhen Stock Exchanges. Following Hou and Moore (2010) and Chen et al. (2006), the data is sourced from CCER, CSMAR, and Wind Info. These databases are popular sources for the firm-level accounting, financial, board and legal data for Chinese listed firms. Our sample period commences in 2004 and extends through 2012. To eliminate the influence of outliers, we winsorize the variables at both top and bottom one percent of their respective distributions. After matching all the available firm-level data, excluding the missing values, and addressing the lead-lag requirement of the model specification, we end up with 13,164 firm-year observations. Appendix A1 provides detailed definition for each variable used in our study.

Table 1 presents the descriptive statistics of the variables used in this study. Average tenure of the corporate secretary in our sample is 5.057 years, with 2 and 7 years at the first and third quartiles. The board size in our sample is relatively similar across firms with 9 to 10 members in the range of first and third quartiles, who on average (median) meet 8.878 (8.0) times annually. The median (third quartile) board independence of 0.333 (0.375) with a low standard deviation of 0.05 clearly implies that most Chinese firms only hire one in three outside directors on their board. This is primarily to meet the minimum requirement mandated by the regulators in China. Next, in our sample, most of the proposal presented in the board meetings are agreed upon by outside directors as their dissent

behaviour appears only in 3.4% cases. On an average, 5.3% outside directors are absent in board meetings. There are about 10.6% and 8.1% of the firm-year observations in our sample that have experienced lawsuit and regulatory enforcement against corporate fraud respectively. We observe that 14.5% of the firm-years report actual fraudulent behaviour which is higher than the incidence of regulatory enforcement against fraud. This is due to the fact that some of the fraudulent behaviour exists for more than one year. There appears to be a significant firm-level variation in analyst coverage, with no analyst coverage during a fiscal year at 25<sup>th</sup> percentile and up to 9 analysts covering a firm at 75<sup>th</sup> percentile of the sample distribution. The variation in the number of mutual funds investing in the firm is also significant, with 1 mutual fund holding the firm in their portfolio at 25<sup>th</sup> percentile and 19 mutual funds holding the firm at the 75<sup>th</sup> percentile. Mean ownership concentration of the largest ten shareholders is 56.7%; suggesting that the ownership of Chinese firms is highly concentrated. About 14.9% of firm-year observations experienced corporate secretary turnover over the sample period, suggesting a relatively high mobility of the corporate secretary position. Finally, 52.4% of the firm-years in this study are classified as SOEs *i.e.* have government as a controlling shareholder. This reflects an unbiased distribution between SOEs and Non-SOEs in our study.

[Please insert Table 1 about here]

Table 2 reports the correlation coefficients among different variables used in this study. The results show a significant negative correlation between the corporate secretary tenure and corporate fraud (-0.06), lawsuit (-0.06), outside director dissent (-0.04), and annual board meeting frequency (-0.09). These significant negative correlation coefficients are consistent with our baseline hypotheses, and suggest a positive impact of corporate secretary tenure on the quality of firm-level corporate governance.

[Please insert Table 2 about here]

## 4.2 Methodology

To test our three hypotheses, we use the following models:

$$Board\ Meeting\ Frequency_{j,t} = \alpha + \delta \ln(Secretary\ Tenure)_{j,t} + \sum_{i=1}^n \beta_i Control_{j,t} + \varepsilon_{j,t} \quad (1)$$

$$Dissent_{j,t} = \alpha + \delta \ln(\text{Secretary Tenure})_{j,t} + \sum_{i=1}^n \beta_i \text{Control}_{j,t} + \varepsilon_{j,t} \quad (2)$$

$$\text{Fraud\_Lawsuit}_{j,t+1} = \alpha + \delta \ln(\text{Secretary Tenure})_{j,t} + \sum_{i=1}^n \beta_i \text{Control}_{j,t} + \varepsilon_{j,t} \quad (3)$$

Here the key dependent variables in model 1, 2 and 3 are *Board Meeting Frequency*, *Dissent* and *Fraud\_Lawsuit* respectively. The *Board Meeting Frequency* is the number of times corporate board meeting took place in a financial year  $t$  for firm  $j$ . *Dissent* is a dummy variable which equals to 1 if there is at least one outside director issued difference in opinions towards the board proposal during the board meeting of firm  $j$  in year  $t$ , 0 otherwise. *Fraud\_Lawsuit* is a dummy variable which equals to 1 if either the firm received a regulatory enforcement against fraud or a lawsuit was filed against the firm  $j$  in year  $t$ , 0 otherwise. On the right hand side of the equation, the key explanatory variable  $\ln(\text{Secretary Tenure})$  represents the natural logarithm of the number of years the corporate secretary has served in the said position up to year  $t$  with firm  $j$ .

Our three basic models also incorporates an array of firm-level control variables which may have a significant influence on board processes. The first group of control variables capture the conventional firm-level financials and accounting parameters. We account for firms' growth opportunities (*BTMV*), size ( $\ln(\text{Market Value})$ ), outstanding debt (*Leverage*), profitability (*Sales Growth*), and relative profitability (*Ind\_ROE*). We also control for the age of the firm ( $\ln(\text{Firm Age})$ ). The second group of firm-level control variables represent governance indicators. At the board-level, we control for the total number of directors on the firms' board (*Board Size*) and the proportion of outside directors on the firms' board (*Board Independence*). For Model 2 and Model 3, we also include the *Board Meeting Frequency* as the control variable. Besides, following Jiang et al. (2016), we add the outside director dissent behaviour (*Dissent*) as well as the *CEO Duality* as governance related control variables in Model 3. Finally, the third group of control variables represent market-related features, including trading liquidity of the firm (*Equity Turnover*) and a dummy variable indicating whether the firm is audited by one of the big four auditing firms (*Big4 Auditor*). The number of analysts covering a firm in a financial year (*Analyst Coverage*) is also included in the third group in Model 3 to account for the impact of analyst coverage as the outside monitor. Lastly, since there is a potential lag between the actual incidence of fraud and the regulatory enforcement

against the fraud, following Hou and Moore (2010) we use a 1-year lead for the dependent variable (*Fraud\_Lawsuit*) in Model 3 in order to address the potential endogeneity concerns.

## 5. Empirical analysis

We report the results about the impact of corporate secretary tenure on the board meeting frequency in Table 3. Columns 1 and 2 of Table 3 reports that the coefficient of *Ln(Secretary Tenure)* is significantly negative at 1% level, both with (*t-stat.*=-7.87) or without (*t-stat.*=-8.10) the control variables. These basic results are consistent with our hypothesis **H1**, *i.e.* the board meeting frequency is negatively associated with the corporate secretary tenure. Moreover, since Hou and Moore (2010) argue that the state ownership has a significant impact on the firm-level governance, we split our sample into SOEs and Non-SOEs. The results are shown in the columns 3 and 4 of Table 3. From the empirical results, it is clear that the experienced corporate secretary has significant capabilities in better channelling the board resources by reducing the frequency of annual board meetings among both Non-SOEs (*t-stat.*=-5.60) and SOEs (*t-stat.*=-5.58) alike.

[Please insert Table 3 about here]

The results for the impact of the corporate secretary tenure on outside director dissent opinion are shown in Table 4. Consistent with **H2**, we can see from columns 1 and 2 that the coefficients for *Ln(Secretary Tenure)* are significantly negative at 1% level with (*t-stat.*=-3.32) or without (*t-stat.*=-4.24) the control variables, indicating that tenure of the corporate secretary is negatively associated with the incidence of outside director dissent during the board meeting. This supports our conjecture that longer tenured secretary can play a better role of boundary spanning to promote a more effective communication and pre-meeting negotiations between the executives and outside directors. This is likely to motivate executives to propose a low risk project with an approach for shareholder wealth maximization, resulting in outside directors to raise less dissent opinions during the board meetings. Moreover, we also split our sample into SOEs and Non-SOEs in Table 4. The results which are shown in columns 3 and 4 indicate that the tenured corporate secretary has significant capabilities in mitigating the outside director dissent among Non-SOEs (*t-stat.*=-3.91), but exhibits no significant influence among SOEs (*t-stat.*=-0.79). This result is consistent with Estrin and Perotin (1991)'s finding that the state controlled firm may have a weaker governance system.

Therefore, the corporate secretary can less effectively conduct their boundary spanning function in SOEs towards outside directors, which leads to a minimal impact in reducing the outside director activism in the board meetings of the SOE.

[Please insert Table 4 about here]

Lastly, the results for the impact of corporate secretary tenure on the incidence of corporate fraud and lawsuit are shown in Table 5. The coefficients for  $\ln(\text{Secretary Tenure})$  in columns 1 and 2 are significantly negative at 1 percent level for both without ( $t\text{-stat.}=-6.87$ ) and with ( $t\text{-stat.}=-5.15$ ) control variables respectively. We also split our sample into SOEs and Non-SOEs, and the results shown in columns 4 and 5 suggest that tenured corporate secretary have significant influence in reducing the incidence of fraud and lawsuit across both Non-SOEs ( $t\text{-stat.}=-3.37$ ) and SOEs ( $t\text{-stat.}=-3.59$ ). This is consistent with our hypothesis **H3** that the corporate secretary tenure is negatively associated with the probability of a firm involved in fraud and lawsuit. These findings are also consistent with the risk-averse notion of Clinard (1983) and Miller (1991), according to which the tenured corporate secretary is less likely to comply with the risky activities of the executives.

Further, from the findings reported in Table 4, we concur that the tenured corporate secretary could effectively reduce the incidence of outside director in-meeting dissent behaviour, suggesting their competence to undertake an effective boundary spanning function. Nevertheless, however experienced is the corporate secretary, it is unlikely that all the disagreements between the outside directors and the executives can be fully resolved prior to the board meeting. When the dissenting behaviour appears during the meeting, we believe that the dissent opinion made by outside directors who were briefed by more experienced corporate secretaries are likely to be based on more accurate information and better understanding of the relevant proposals due to a better boundary spanning role played by these corporate secretary. If this is the case, then these well informed dissents are highly likely to be more convincing to the board in general, hence more effective in dissuading the problematic decisions proposed by the executives. Furthermore, dissent opinion that appears in the meetings organized by longer tenured corporate secretaries are also more likely to lead towards a better decision making process due to the more efficient board process since it allows the implications of relevant proposals to be fully discussed. From this point of view, the interaction term between the outside director dissent behaviour and the corporate secretary tenure should be negatively associated with the incidence of corporate fraud and lawsuit. The results in column 3 of Table 5 confirm this



notion. Here the interaction term  $\ln(\text{Secretary Tenure})\_Dissent$  is negatively associated with the incidence of fraud and lawsuit ( $t\text{-stat.}=-1.83$ ). Together with the results from columns 1 and 2, this supports **H3** which argues that the tenured corporate secretary could reduce the frequency of corporate fraud and lawsuit, either directly by facilitating or monitoring function, or indirectly through their work on boundary spanning and board process management which amplify the effectiveness of the outside directors monitoring duties.

[Please insert Table 5 about here]

## **6. Robustness check and further analysis**

### **6.1 Endogeneity problem**

In section 5, although we use a 1-year lead for *Fraud\_Lawsuit* as the dependent variable to address the potential endogeneity issues in our sample while testing the validity of our key hypotheses, we still cannot ignore the fact that the corporate secretary is an insider who is likely to know and resign (hence influence tenure) before the ongoing corporate fraud is revealed by the regulators.

To solve the endogeneity problem, we need to find an instrumental variable to test the causal influence of corporate secretary tenure. Since the corporate secretary may have significant impact on the firm's overall governance quality, we cannot use other characteristics of corporate secretary as an instrumental variable. Therefore, in this study we employ an institutional change that may have a direct impact on the corporate secretary tenure across firms as the relevant instrument to address endogeneity issues. In 2009, both Shanghai and Shenzhen Stock Exchanges announced the guidelines for the *Corporate Secretary Certificate Management Program*. This program mandated all corporate secretaries across Chinese listed firms to attend training and to pass the professional certificate test in order to continue in their current jobs. This newly introduced corporate secretary certification not only acknowledged the importance of their role in efficient board processes, but also introduced a sense of competition based on merit and competence in recruitment of corporate secretaries in general. Hence, we believe that this new certification requirement will have a direct influence on the tenure of corporate secretaries in China. Unlike other characteristics of corporate secretary which may have a simultaneous impact on their tenure and firm-level governance quality, we believe this exogenous

institutional change should have no direct impact on the incidence of corporate fraud and lawsuit, board meeting frequency, and outside director dissent behaviour. We therefore introduce a dummy variable (*Secretary Certificate*) which equals to 0 post 2009 and 1 otherwise as our instrument variable. We define models 4, 5 and 6 as follows:

$$Board\_Meeting\_Frequency_{j,t} = \alpha + \delta \ln(\widehat{Secretary\_Tenure})_{j,t} + \sum_{i=1}^n \beta_i Control_{j,t} + \varepsilon_{j,t} \quad (4)$$

$$Dissent_{j,t} = \alpha + \delta \ln(\widehat{Secretary\_Tenure})_{j,t} + \sum_{i=1}^n \beta_i Control_{j,t} + \varepsilon_{j,t} \quad (5)$$

$$Fraud\_Lawsuit_{j,t+1} = \alpha + \delta \ln(\widehat{Secretary\_Tenure})_{j,t} + \sum_{i=1}^n \beta_i Control_{j,t} + \varepsilon_{j,t} \quad (6)$$

where  $\ln(\widehat{Secretary\_Tenure})_{j,k} = \alpha + \delta_1 Secretary\_Certificate_{j,k} + \varepsilon_{j,k}$

We report the results for models 4, 5 and 6 along with the 2-stage Probit / OLS regressions in Table 6. We can see that our results are empirically and statistically consistent with our key findings summarized in Tables 3, 4 and 5. Thus, we can confirm that our results are not biased and devoid of the potential endogeneity issues.

[Please insert Table 6 about here]

## 6.2 Corporate secretary tenure and outside director absence in board meeting

While testing our main hypothesis, we find that the corporate secretary tenure has significant impact in reducing the board meeting frequency and outside director dissent opinion. This supports our argument that tenured secretary are proficient in organizing effective board meetings and playing the boundary spanning role. However, one may argue that the higher board meeting frequency not only reflect an effective board process, but also the fact that board members are more actively conducting their jobs (Vafeas, 1999). In addition, the dissent behaviour may only partially capture the inefficient pre-meeting negotiation and information delivery of active outside directors.

To provide further evidence to support *H2* and *H3*, in this section we use a third variable, the outside directors' board meeting absent behaviour, to test corporate secretary's impact on improving board processes. We argue that the absence of outside directors from the board meetings could also reflect the capabilities of corporate secretary on conducting their role for board process management

as well as boundary spanning to outside directors. Adams and Ferreira (2008) suggests that the major task for the outside directors is to attend the board meetings, their choice to be absent from the board meetings is less likely to be discretionary. Rather the absence may be caused by reasons such as scheduling conflict or disagreement with the proposals to be discussed in the board meetings. The former may occur if board meetings are not well scheduled, or when the meeting materials are not timely dispatched to board members which leave the outside directors insufficient time to prepare for the meetings. The disagreements on the board meeting proposals may happen when there is inadequate and ineffective pre-meeting negotiation/communication between the outside directors and the management team. Although the absence behaviour may potentially harm the outside directors' reputation, it may be a better strategy for them to avoid agreeing to potentially risky proposals that they have not fully evaluated, or even publically contradict with the executive decision.

The outside director absence for firm  $j$  in year  $t$  is defined as the total number of outside directors absent from the board meeting divided by the total number of meetings the outside directors are required to attend in year  $t$ .<sup>3</sup> The results for model 7 are reported in Table 7.

$$Outside\ Director\ Absence_{j,t} = \alpha + \delta \ln(Secretary\ Tenure)_{j,t} + \sum_{i=1}^n \beta_i Control_{j,t} + \varepsilon_{j,t} \quad (7)$$

It is clear from the results in the columns 1 and 2 that the corporate secretary's tenure within the firm is negatively associated with the outside director absence ratio either with or without the control variables. Moreover, in columns 3 and 4 we find that such effect only appears in Non-SOEs, which is consistent with previous finding that the tenure of the corporate secretary has little impact on the outside directors' dissent opinion for the SOEs.<sup>4</sup> Again, the weak influence of the corporate secretary in the SOEs may be an indicator of their weak governance mechanisms (Estrin and Perotin, 1991). Overall, the results in Table 7 support the notion that longer tenured corporate secretaries improve the board process and the information flow and communication between the outside directors and the management team.

[Please insert Table 7 about here]

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<sup>3</sup> We consider representative's attendance in lieu of the outside director as an absence behavior since it also represents the ineffectiveness of meeting organization and information transmission. Such representative attendance could have adverse effect on governance outcome (Chou et al, 2013).

<sup>4</sup> Please refer column 4 of Table 4.

### 6.3 Corporate secretary tenure and analyst coverage and institutional investors

Next, to test the influence of corporate secretary tenure on their boundary spanning function, we take the advantage of our Chinese setting where corporate secretaries (and not the CEO / CFO) are contractually and legally obligated to also take an additional responsibility of the head of firm's investor relations. This regularity requirement allows us to empirically examine whether the corporate secretary tenure is influential on their boundary spanning function to parties such as the security analysts and institutional investors. For instance, we can investigate whether the corporate secretary can increase a firm's analyst coverage and the number of institutional investors investing in the firm. More importantly, the literature has documented the security analysts as an important intermediary between the firm and market in reducing the information asymmetry and increasing the market-wide scrutiny of the firm as well as the governance outcome (Armstrong et al., 2015). For example, high analyst coverage can reduce the incidence of earnings management; especially in markets with weaker investor protection (Yu 2008; Sun, 2009). Institutional investors such as mutual funds due to their accessibility of superior information are considered as better monitors compared to retail investors (Chemmanur et al., 2009; Chiang et al., 2010; Tong et al., 2013). Institutional investors also limit managerial expropriation. Therefore, the potential relationship of corporate secretary with respect to analyst coverage and number of institutional investors may not only reflect the quality of their boundary spanning role, but also support the notion that tenured corporate secretary through their impact on analyst coverage and institutional investors could indirectly exert an external governance pressure to limit fraudulent behaviour of the management team.

In this paper, we measure the *Analyst Coverage* as the total number of analysts covering the firm during a financial year. As the corporate secretary is required to work closely with the security analysts, we conjecture that tenured corporate secretary should be able to attract a greater number of analysts to follow the firm. We capture the firm's institutional investors using the *No. of Mutual Funds*, which is the number of mutual funds that hold shares in a firm during a fiscal year. We expect that more experienced corporate secretary is associated with a greater number of mutual fund shareholders. Here we propose the following models:

$$Analyst\ Coverage_{j,k} = \alpha + \delta \ln(Secretary\ Tenure)_{j,k} + \sum_{i=1}^n \beta_i Control_{j,k} + \varepsilon_{j,k} \quad (8)$$

$$No. of Funds_{j,k} = \alpha + \delta_1 \ln(Secretary Tenure)_{j,k} + \sum_{i=1}^n \beta_i Control_{j,k} + \varepsilon_{j,k} \quad (9)$$

The results for models 8 and 9 are reported in Table 8 and Table 9 respectively. From columns 1 and 2 of Table 8 and Table 9, it is evident that the corporate secretary's tenure with the firm is positively associated with both the number of analysts covering the firm and the number of mutual funds holding the firm in their portfolio. For the number of mutual funds invested in a firm, the influence is much more pronounced for the Non-SOEs compared with SOEs. Overall, these results support the notion that tenured corporate secretary could play a better boundary spanning role, even to analysts and investors. Moreover, to the extent that the analysts and institutional investors act as the effective monitors, this result also supports the notion that tenured corporate secretary could further enhance the external governance outcomes.

[Please insert Table 8 and Table 9 about here]

#### 6.4 Alternative measures of internal control on governance outcomes

In this section, we investigate the influence of corporate secretary on several alternative measures of firm-level internal control quality. Firstly, we split the *Fraud\_Lawsuit* variable used in section 5 (Table 5) into two variables *Fraud* and *Lawsuit* and use both of them as dependent variable separately. Secondly, since the variable *Fraud* actually corresponds to the time when the fraudulent behaviour is identified by the regulators, we also test the relation between the variable *Fraud Happen* which is based on the actual time of fraudulent behaviour as the dependent variable with corporate secretary tenure. Thirdly, to observe the governance outcome from market's perspective, we use the variable *Modified Auditor Opinion* which captures the change in auditor's opinion towards the firm as an alternative measure of internal control quality. Based on the above discussion, we propose the following models:

$$Fraud_{j,t+1} = \alpha + \delta \ln(Secretary Tenure)_{j,t} + \sum_{i=1}^n \beta_i Control_{j,t} + \varepsilon_{j,t} \quad (10)$$

$$Fraud Happen_{j,t+1} = \alpha + \delta \ln(Secretary Tenure)_{j,t} + \sum_{i=1}^n \beta_i Control_{j,t} + \varepsilon_{j,t} \quad (11)$$

$$Lawsuit_{j,t+1} = \alpha + \delta \ln(Secretary Tenure)_{j,t} + \sum_{i=1}^n \beta_i Control_{j,t} + \varepsilon_{j,t} \quad (12)$$

$$Modified Auditor Opinion_{j,t+1} = \alpha + \delta \ln(Secretary Tenure)_{j,t} + \sum_{i=1}^n \beta_i Control_{j,t} + \varepsilon_{j,t} \quad (13)$$

The empirical results based on the above models are shown in Table 10. It could be found from columns 1 to 8 that corporate secretary tenure is negatively related to each of these dependent variables, either with or without the control variables. These results further support our conclusion that tenured corporate secretary could help enhance the internal control outcomes of the firm.

[Please insert Table 10 about here]

## 6.5 Corporate secretary duality and incidence of fraud and lawsuit

Bird et al. (2015) demonstrates that the chief legal officer of the firm faces a dual-role paradox that requires them to not only act as a monitor of corporate governance, but are also part of the managerial team of the firm which clearly reflects a conflict of interest. In vein with this notion, corporate secretary may face the same dilemma considering their facilitating and monitoring role at the same time. Recently, McNulty and Stewart (2015) in their interview sample shows that corporate secretaries are likely to don a dual role. After closely looking into the additional roles observed by the corporate secretaries in China, we find that many corporate secretaries hold more than one position on the firm's board, such as the member of the management team, or maybe even act as one of the board director. This dual-role phenomenon provides us with a good opportunity to test the actual interest alignment of the corporate secretary in the firm.

To perform the analysis, we construct two variables *Duality as Director* and *Duality as Executives*. Here *Duality as Director* equals to 1 if the corporate secretary also serves as one of the board director, otherwise equals to 0. *Duality as Executives* equals to 1 if the corporate secretary also serves as CFO or Vice President of the firm, otherwise equals to 0. We propose the following models:

$$Fraud\_Lawsuit_{j,t+1} = \alpha + \delta Duality as Director_{j,t} + \sum_{i=1}^n \beta_i Control_{j,t} + \varepsilon_{j,t} \quad (14)$$

$$Fraud\_Lawsuit_{j,t+1} = \alpha + \delta Duality as Executives_{j,t} + \sum_{i=1}^n \beta_i Control_{j,t} + \varepsilon_{j,t} \quad (15)$$

The results are reported in Table 11. We can see that *Duality as Director* is significantly negative with respect *Fraud\_Lawsuit* without (*t-stat.* =-2.07) and with (*t-stat.* =-2.55) control variables. By contrast, in columns 3 and 4, the coefficients for *Duality as Executives* is significantly positive without (*t-stat.* =2.51) and with (*t-stat.* =2.62) control variables. These results support the notion that the effectiveness of the corporate secretary on monitoring and facilitating executives and board members will be affected by their dual role as either a member of board or part of the executive team. On one hand, if the corporate secretary is also working as board member, they could undertake a better information spanning function to the outside directors and help with forming a more strict governance environment, thereby reducing the incidence of corporate fraud and potential lawsuits. On the other hand, when the corporate secretary also acts as a part of the management team (*i.e.* as a CFO or Vice President of the firm), their interests align with that of the executives. Besides in case of duality of corporate secretary as an executive, in order to please the CEO / Senior Management team of the firm, they are likely to suffer from greater bonding cost at the expense of minority shareholder wealth (Jensen and Meckling, 1976). This is likely to lower their efficiency in improving governance outcome, thereby turning them into a lapdog rather than watchdog of the management team.

[Please insert Table 11 about here]

## 6.6 Outcome of corporate fraud on corporate secretary

Lastly, we would like to examine the incentives of the corporate secretary in preventing the firm's fraudulent activities. We construct a variable *Secretary Turnover* which equals to 1 if there is at least one corporate secretary turnover in a financial year otherwise 0 as our dependent variable. We propose the following model to investigate the influence of fraud and lawsuit on secretary turnover:

$$Secretary\ Turnover_{j,t+1} = \alpha + \delta Fraud\_Lawsuit_{j,t} + \sum_{i=1}^n \beta_i Control_{j,t} + \varepsilon_{j,t} \quad (16)$$

The results in Table 12 show that corporate fraud/lawsuit has a significant positive impact on the probability of secretary turnover in the next financial year. Simply put, corporate fraud/lawsuit is likely to result in a change of the firm's corporate secretary in the next financial year. The coefficients on *Fraud\_Lawsuit* are significant at 1 percent level for without (*t-stat.*=3.18) and with (*t-stat.*=2.69) control variables. For Non-SOEs, this impact is stronger (*t-stat.*=2.14), which means that after the

incidence of fraud and lawsuit, the corporate secretary is more likely to either depart or be replaced from their current position. In contrast, results in column 4 of Table 12 show that this is not the case for the SOEs, implying that the corporate secretaries in the SOEs have less incentive in improving the firms' governance quality. This is consistent with the findings in Tables 4, 7 and 9 which shows that the corporate secretary are less effective in reducing the outside directors' dissent opinion and absent behaviour, and it is also less effective in increasing the mutual fund investment.

[Please insert Table 12 about here]

## **7 Conclusion**

This paper empirically examines the impact of corporate secretary's tenure on corporate governance quality of the A-share listed firms in Chinese stock market. The results show that corporate secretary's tenure is negatively associated with the board meeting frequency, outside director in-meeting dissent behaviour, as well as the propensity of fraud and lawsuits. These results support the theoretical foundation laid by McNulty and Stewart (2015), which shows that the corporate secretary can have a significant influence on internal governance quality of the firm. Our main findings are robust to potential endogeneity issues. We also test the impact of tenure on outside director's absence from the board meeting, analyst coverage and number of mutual fund, as well as an array of different internal quality control measures. All results are consistent with our main findings. However, we do find evidence suggesting that the influence of the corporate secretary on some governance measures (e.g., outside directors' in-meeting dissent opinion or absence from the board meeting, and mutual fund investment) is not significant among the SOEs. To further examine the motivation of corporate secretary in actively engaging on the governance quality, we show that the corporate secretary duality is important for their effectiveness in controlling the incidence of fraud and lawsuit. The direction of such influence depends on whether the corporate secretary takes the dual role as one of the board director or works in a managerial capacity. At last, we show that the propensity of fraud and lawsuit will increase the likelihood of corporate secretary turnover which further explains why they are more likely to assist the firm in avoiding the distressed internal control outcomes.



Our study contributes to a rapidly growing corporate governance and boardroom literature. It empirically supports the notion of a significant positive influence of corporate secretary's tenure on the internal governance quality of the firm. Consistent with McNulty and Stewart (2015), we argue that the corporate secretary is integral for efficient board processes. Besides, some of the empirical results in this study provide new evidence on the different governance outcome between the SOEs and the Non-SOEs in China.

These findings are critically important for academics, regulators, policy-makers and practitioners (both institutional and individual investors) alike who have varied vested interests in firm-level internal control and board efficiency. Overall, we try to partially address the growing concern of how to improve the governance outcome in the wake of enhanced public, media, and regulatory scrutiny of the boardroom working.

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**Table 1: Descriptive statistics**

This table reports the descriptive statistics of variables for our Chinese A-share listed firms used in this study from 2004 to 2012. We report the number of observations, mean, standard deviation, median, and first and third quartile values of all the variables used in this study. Detailed definitions of all the variables are reported in Appendix A1.

|      | Variable                 | N      | Mean   | Standard Dev. | P25    | Median | P75    |
|------|--------------------------|--------|--------|---------------|--------|--------|--------|
| (1)  | Secretary Tenure         | 13,164 | 5.057  | 3.388         | 2.000  | 4.000  | 7.000  |
| (2)  | Board Size               | 13,164 | 9.271  | 1.975         | 9.000  | 9.000  | 10.000 |
| (3)  | Board Meeting Frequency  | 13,164 | 8.878  | 3.366         | 7.000  | 8.000  | 11.000 |
| (4)  | Board Independence       | 13,164 | 0.361  | 0.052         | 0.333  | 0.333  | 0.375  |
| (5)  | Dissent                  | 13,164 | 0.034  | 0.181         | 0.000  | 0.000  | 0.000  |
| (6)  | Absence                  | 13,164 | 0.053  | 0.076         | 0.000  | 0.028  | 0.083  |
| (7)  | Fraud                    | 13,164 | 0.081  | 0.272         | 0.000  | 0.000  | 0.000  |
| (8)  | Lawsuit                  | 13,164 | 0.106  | 0.308         | 0.000  | 0.000  | 0.000  |
| (9)  | Fraud Happen             | 13,164 | 0.145  | 0.352         | 0.000  | 0.000  | 0.000  |
| (10) | Modified Auditor Opinion | 13,164 | 0.022  | 0.147         | 0.000  | 0.000  | 0.000  |
| (11) | Analyst Coverage         | 13,164 | 6.076  | 8.647         | 0.000  | 2.000  | 9.000  |
| (12) | No. of Mutual Funds      | 13,164 | 16.904 | 29.060        | 1.000  | 4.000  | 19.000 |
| (13) | Secretary Turnover       | 13,164 | 0.149  | 0.356         | 0.000  | 0.000  | 0.000  |
| (14) | CEO Duality              | 13,164 | 0.156  | 0.363         | 0.000  | 0.000  | 0.000  |
| (15) | Ownership Concentration  | 13,164 | 0.567  | 0.158         | 0.457  | 0.578  | 0.683  |
| (16) | BTMV                     | 13,164 | 0.449  | 0.290         | 0.231  | 0.392  | 0.608  |
| (17) | Ln(Market Value)         | 13,164 | 22.152 | 1.279         | 21.301 | 21.972 | 22.762 |
| (18) | Leverage                 | 13,164 | 0.615  | 7.818         | 0.340  | 0.504  | 0.646  |
| (19) | Sales Growth             | 13,164 | 0.226  | 0.571         | -0.011 | 0.143  | 0.323  |
| (20) | Ind_ROE                  | 13,164 | 0.000  | 0.178         | -0.038 | 0.008  | 0.065  |
| (21) | Equity Turnover          | 13,164 | 3.569  | 2.826         | 1.550  | 2.864  | 4.826  |
| (22) | Firm Age                 | 13,164 | 13.264 | 4.711         | 10.000 | 13.000 | 16.000 |
| (23) | Big4 Auditor             | 13,164 | 0.070  | 0.256         | 0.000  | 0.000  | 0.000  |
| (24) | SOE                      | 13,164 | 0.524  | 0.499         | 1.000  | 1.000  | 0.000  |

**Table 2: Pairwise correlation matrix**

This table reports the pairwise correlation matrix for variables from 2004 to 2012. Detailed definitions of all variables are reported in Appendix A1. \* indicates significance at 1% level.

|                             | [1]    | [2]    | [3]    | [4]    | [5]    | [6]    | [7]    | [8]    | [9]    | [10]   | [11]   | [12]   | [13]   | [14]   | [15]   | [16]   | [17]  | [18]   | [19]   | [20]  | [21]   | [22]   | [23] |
|-----------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|-------|--------|--------|-------|--------|--------|------|
| [1]Fraud                    | 1.00   |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |       |        |        |       |        |        |      |
| [2]Lawsuit                  | 0.06*  | 1.00   |        |        |        |        |        |        |        |        |        |        |        |        |        |        |       |        |        |       |        |        |      |
| [3]Fraud Happen             | 0.44*  | 0.05*  | 1.00   |        |        |        |        |        |        |        |        |        |        |        |        |        |       |        |        |       |        |        |      |
| [4]Modified Auditor Opinion | 0.11*  | 0.21*  | 0.13*  | 1.00   |        |        |        |        |        |        |        |        |        |        |        |        |       |        |        |       |        |        |      |
| [5]Dissent                  | 0.04*  | 0.09*  | 0.05*  | 0.09*  | 1.00   |        |        |        |        |        |        |        |        |        |        |        |       |        |        |       |        |        |      |
| [6]Absence                  | -0.01  | 0.12*  | -0.01  | 0.10*  | 0.09*  | 1.00   |        |        |        |        |        |        |        |        |        |        |       |        |        |       |        |        |      |
| [7]Ln(Secretary Tenure)     | -0.06* | -0.06* | -0.05* | -0.04* | -0.04* | -0.02  | 1.00   |        |        |        |        |        |        |        |        |        |       |        |        |       |        |        |      |
| [8]Board Independence       | 0.02   | -0.04* | 0.00   | -0.01  | -0.02* | -0.10* | -0.05* | 1.00   |        |        |        |        |        |        |        |        |       |        |        |       |        |        |      |
| [9]Board Meeting Frequency  | 0.06*  | 0.01   | 0.05*  | 0.00   | 0.02*  | -0.11* | -0.09* | 0.06*  | 1.00   |        |        |        |        |        |        |        |       |        |        |       |        |        |      |
| [10]Board Size              | -0.06* | -0.01  | -0.04* | -0.03* | 0.01   | 0.16*  | 0.04*  | -0.29* | -0.03* | 1.00   |        |        |        |        |        |        |       |        |        |       |        |        |      |
| [11]CEO Duality             | 0.05*  | -0.01  | 0.07*  | 0.01   | 0.00   | -0.07* | -0.04* | 0.08*  | -0.00  | -0.14* | 1.00   |        |        |        |        |        |       |        |        |       |        |        |      |
| [12]Ownership Concentration | -0.04* | -0.05* | -0.08* | -0.05* | 0.00   | 0.03*  | -0.10* | 0.00   | -0.02  | 0.08*  | -0.05* | 1.00   |        |        |        |        |       |        |        |       |        |        |      |
| [13]BTMV                    | -0.07* | -0.05* | -0.07* | -0.08* | -0.05* | 0.03*  | 0.04*  | -0.03* | -0.02  | 0.13*  | -0.07* | 0.02   | 1.00   |        |        |        |       |        |        |       |        |        |      |
| [14]Ln(Market Value)        | -0.07* | -0.16* | -0.09* | -0.11* | -0.05* | -0.05* | 0.09*  | 0.07*  | 0.20*  | 0.33*  | 0.20*  | 0.14*  | 0.10*  | 1.00   |        |        |       |        |        |       |        |        |      |
| [15]Leverage                | 0.00   | 0.04*  | 0.00   | 0.08*  | 0.00   | 0.03*  | -0.02  | 0.00   | 0.00   | 0.00   | -0.01  | -0.02  | -0.03* | -0.02  | 1.00   |        |       |        |        |       |        |        |      |
| [16]Sales Growth            | 0.00   | -0.02  | -0.03* | -0.08* | 0.00   | 0.02   | -0.05* | 0.01   | 0.06*  | 0.00   | 0.00   | 0.12*  | -0.07* | 0.08*  | -0.02  | 1.00   |       |        |        |       |        |        |      |
| [17]Ind_ROE                 | -0.01  | -0.11* | 0.00   | -0.10* | -0.03* | -0.05* | 0.01   | 0.02   | 0.03*  | 0.02   | 0.05*  | 0.03*  | -0.03* | 0.11*  | -0.08* | 0.06*  | 1.00  |        |        |       |        |        |      |
| [18]Equity Turnover         | 0.05*  | -0.06* | 0.10*  | 0.01   | -0.03* | -0.11* | 0.04*  | 0.04*  | 0.06*  | -0.14* | 0.14*  | -0.51* | -0.17* | -0.13* | 0.00   | -0.10* | 0.03* | 1.00   |        |       |        |        |      |
| [19]Ln(Firm Age)            | 0.05*  | 0.01   | 0.06*  | 0.01   | -0.04* | -0.13* | 0.06*  | 0.05*  | 0.14*  | -0.06* | 0.12*  | -0.33* | -0.11* | 0.13*  | 0.02   | -0.02  | 0.01  | 0.16*  | 1.00   |       |        |        |      |
| [20]Big4 Auditor            | -0.05* | -0.04* | -0.07* | -0.02* | -0.02  | 0.03*  | 0.02   | 0.02   | 0.05*  | 0.20*  | 0.03*  | 0.17*  | 0.09*  | 0.39*  | 0.00   | -0.01  | 0.03* | -0.15* | -0.03* | 1.00  |        |        |      |
| [21]Analyst Coverage        | -0.04* | -0.15* | -0.07* | -0.10* | -0.08* | -0.10* | 0.05*  | 0.05*  | 0.12*  | 0.20*  | 0.14*  | 0.25*  | -0.06* | 0.61*  | -0.01  | 0.05*  | 0.11* | -0.17* | 0.03*  | 0.23* | 1.00   |        |      |
| [22]No. of Mutual Funds     | -0.06* | -0.11* | -0.08* | -0.08* | -0.05* | -0.04* | 0.07*  | 0.06*  | 0.12*  | 0.23*  | 0.12*  | 0.17*  | -0.06* | 0.71*  | -0.01  | 0.05*  | 0.09* | -0.23* | 0.05*  | 0.28* | 0.77*  | 1.00   |      |
| [23]Secretary Turnover      | 0.03*  | 0.04*  | 0.04*  | 0.03*  | 0.03*  | 0.02   | -0.70* | 0.03*  | 0.10*  | -0.03* | 0.01   | 0.00   | -0.02  | -0.03* | 0.02*  | 0.05*  | 0.00  | 0.01   | 0.01   | -0.02 | -0.04* | -0.04* | 1.00 |

**Table 3: Effect of corporate secretary tenure on board meeting frequency**

This table reports the pooled OLS regression results for the effect of duration of corporate secretary's work tenure with a firm on board meeting frequency for Chinese A-share listed firms from 2004 to 2012. Model 1 and 2 reports OLS regression results for the secretary tenure as key independent variable for the full sample without and with control variables respectively. Model 3 and 4 splits the sample by the level of state ownership. We control for industry and year fixed effects across all the regression models. Adjusted  $R^2$  and F-Values across all the regression models are reported. Values in parenthesis below each coefficient are their respective robust t-statistics, clustered at firm-level. Detailed definitions of all variables are reported in Appendix A1. \*\*\*, \*\*, \* indicates significance at 1%, 5%, and 10% level respectively.

|                         | <u>Board Meeting Frequency</u> |                      |                       |                      |
|-------------------------|--------------------------------|----------------------|-----------------------|----------------------|
|                         | Full Sample                    | Full Sample          | Non-SOEs              | SOEs                 |
|                         | (1)                            | (2)                  | (3)                   | (4)                  |
| Ln(Secretary Tenure)    | -0.365***<br>(-8.10)           | -0.352***<br>(-7.87) | -0.414***<br>(-5.60)  | -0.311***<br>(-5.58) |
| Board Independence      |                                | -0.085<br>(-0.10)    | 0.485<br>(0.38)       | -0.357<br>(-0.32)    |
| Board Size              |                                | -0.021<br>(-0.67)    | -0.031<br>(-0.61)     | -0.011<br>(-0.29)    |
| Ownership Concentration |                                | 0.839*<br>(1.70)     | 1.085<br>(1.49)       | 0.578<br>(0.86)      |
| BTMV                    |                                | -0.293*<br>(-1.82)   | -0.203<br>(-0.80)     | -0.338<br>(-1.61)    |
| Ln(Market Value)        |                                | 0.720***<br>(8.03)   | 0.856***<br>(6.16)    | 0.591***<br>(4.99)   |
| Leverage                |                                | 0.002***<br>(3.32)   | 0.002***<br>(3.32)    | -0.010<br>(-1.03)    |
| Sales Growth            |                                | 0.020<br>(0.44)      | -0.007<br>(-0.12)     | 0.053<br>(0.77)      |
| Ind_ROE                 |                                | -0.013<br>(-0.50)    | -0.034<br>(-0.90)     | 0.002<br>(0.06)      |
| Equity Turnover         |                                | -0.021*<br>(-1.70)   | -0.020<br>(-1.14)     | -0.021<br>(-1.20)    |
| Ln(Firm Age)            |                                | -0.122<br>(-0.27)    | 0.041<br>(0.05)       | -0.068<br>(-0.12)    |
| Big4 Auditor            |                                | -0.053<br>(-0.36)    | 0.149<br>(0.57)       | -0.174<br>(-0.98)    |
| Constant                | 10.330***<br>(119.22)          | -6.592***<br>(-3.03) | -10.674***<br>(-3.37) | -4.617*<br>(-1.75)   |
| Industry Fixed Effects  | Yes                            | Yes                  | Yes                   | Yes                  |
| Year Fixed Effects      | Yes                            | Yes                  | Yes                   | Yes                  |
| No. of Observations     | 13,164                         | 13,164               | 6,266                 | 6,898                |
| adj. $R^2$              | 0.132                          | 0.145                | 0.145                 | 0.147                |
| F-Value                 | 139.013***                     | 70.281***            | 29.913***             | 44.450***            |



**Table 4: Effect of corporate secretary tenure on outside director in-meeting dissent**

This table reports the probit regression results for the effect of duration of corporate secretary's work tenure with a firm on outside director dissent during the board meeting for Chinese A-share listed firms from 2004 to 2012. Model 1 and 2 reports probit regression results for the secretary tenure as key independent variable for the full sample without and with control variables respectively. Model 3 and 4 splits the sample by the level of state ownership. We control for industry and year fixed effects across all the regression models. Pseudo  $R^2$  and Wald  $\chi^2$  values across all the regression models are reported. Values in parenthesis below each coefficient are their respective robust t-statistics, clustered at firm-level. Detailed definitions of all variables are reported in Appendix A1. \*\*\*, \*\*, \* indicates significance at 1%, 5%, and 10% level respectively.

|                         | Outside Director Dissent |                      |                      |                     |
|-------------------------|--------------------------|----------------------|----------------------|---------------------|
|                         | Full Sample              | Full Sample          | Non-SOEs             | SOEs                |
|                         | (1)                      | (2)                  | (3)                  | (4)                 |
| Ln(Secretary Tenure)    | -0.139***<br>(-4.24)     | -0.109***<br>(-3.32) | -0.197***<br>(-3.91) | -0.035<br>(-0.79)   |
| Board Independence      |                          | -0.154<br>(-0.28)    | -0.299<br>(-0.37)    | 0.135<br>(0.18)     |
| Board Meeting Frequency |                          | 0.028***<br>(3.40)   | 0.032***<br>(2.74)   | 0.023**<br>(1.99)   |
| Board Size              |                          | 0.011<br>(0.77)      | 0.043*<br>(1.84)     | -0.009<br>(-0.45)   |
| Ownership Concentration |                          | -0.085<br>(-0.37)    | -0.139<br>(-0.41)    | -0.065<br>(-0.20)   |
| BTMV                    |                          | -0.221*<br>(-1.83)   | -0.244<br>(-1.40)    | -0.167<br>(-0.99)   |
| Ln(Market Value)        |                          | -0.083**<br>(-2.53)  | -0.147***<br>(-2.90) | -0.033<br>(-0.74)   |
| Leverage                |                          | -0.002**<br>(-2.33)  | -0.009<br>(-0.38)    | 0.014<br>(1.59)     |
| Sales Growth            |                          | -0.053<br>(-1.09)    | -0.095<br>(-1.51)    | -0.012<br>(-0.16)   |
| Ind_ROE                 |                          | -0.018<br>(-1.02)    | -0.037<br>(-1.51)    | 0.000<br>(0.02)     |
| Equity Turnover         |                          | -0.029*<br>(-1.89)   | -0.051**<br>(-2.25)  | -0.009<br>(-0.44)   |
| Ln(Firm Age)            |                          | -0.000<br>(-0.00)    | 0.067<br>(0.52)      | -0.076<br>(-0.70)   |
| Big4 Auditor            |                          | -0.175<br>(-1.45)    | 0.072<br>(0.38)      | -0.349**<br>(-2.31) |
| Constant                | -2.101***<br>(-16.94)    | -0.415<br>(-0.52)    | 0.601<br>(0.49)      | -1.261<br>(-1.15)   |
| Industry Fixed Effects  | Yes                      | Yes                  | Yes                  | Yes                 |
| Year Fixed Effects      | Yes                      | Yes                  | Yes                  | Yes                 |
| No. of Observations     | 13,164                   | 13,164               | 6,266                | 6,898               |
| pseudo $R^2$            | 0.174                    | 0.185                | 0.216                | 0.173               |
| $\chi^2$                | 513.399***               | 586.911***           | 344.621***           | 322.239***          |

**Table 5: Effect of corporate secretary tenure on incidence of fraud and lawsuit**

This table reports the probit regression results for the effect of duration of corporate secretary's work tenure with a firm on its possibility of receiving an enforcement against fraud by the regulators or being involved in a lawsuit for Chinese A-share listed firms from 2004 to 2012. Model 1 to 3 reports probit regression results for the secretary tenure as key independent variable for the full sample without (Model 1) and with (Model 2 and 3) control variables. Model 4 and 5 splits the sample by the level of state ownership. Pseudo  $R^2$  and Wald  $\chi^2$  values across all the regression models are reported. Values in parenthesis below each coefficient are their respective robust t-statistics, clustered at firm-level. To reduce endogeneity problem, all independent variables are lagged by one year. Detailed definitions of all variables are reported in Appendix A1. \*\*\*, \*\*, \* indicates significance at 1%, 5%, and 10% level respectively.

|                                | Fraud Lawsuit        |                      |                      |                      |                      |
|--------------------------------|----------------------|----------------------|----------------------|----------------------|----------------------|
|                                | Full Sample          | Full Sample          | Full Sample          | Non-SOEs             | SOEs                 |
|                                | (1)                  | (2)                  | (3)                  | (4)                  | (5)                  |
| Ln(Secretary Tenure)           | -0.134***<br>(-6.87) | -0.100***<br>(-5.15) | -0.093***<br>(-4.74) | -0.092***<br>(-3.37) | -0.099***<br>(-3.59) |
| Dissent                        |                      | 0.530***<br>(7.57)   | 0.708***<br>(5.94)   | 0.477***<br>(4.88)   | 0.559***<br>(5.50)   |
| Ln(Secretary Tenure) * Dissent |                      |                      | -0.154*<br>(-1.83)   |                      |                      |
| Board Independence             |                      | -0.112<br>(-0.34)    | -0.118<br>(-0.36)    | -0.138<br>(-0.31)    | -0.142<br>(-0.29)    |
| Board Meeting Frequency        |                      | 0.030***<br>(5.83)   | 0.030***<br>(5.83)   | 0.027***<br>(3.73)   | 0.033***<br>(4.38)   |
| Board Size                     |                      | 0.010<br>(1.13)      | 0.010<br>(1.06)      | 0.026*<br>(1.93)     | 0.001<br>(0.08)      |
| CEO Duality                    |                      | 0.102**<br>(2.46)    | 0.102**<br>(2.45)    | 0.124**<br>(2.48)    | -0.027<br>(-0.35)    |
| Ownership Concentration        |                      | -0.466***<br>(-3.60) | -0.463***<br>(-3.58) | -0.574***<br>(-3.29) | -0.326*<br>(-1.64)   |
| BTMV                           |                      | -0.649***<br>(-8.15) | -0.649***<br>(-8.16) | -0.880***<br>(-7.76) | -0.451***<br>(-4.12) |
| Ln(Market Value)               |                      | -0.057***<br>(-2.81) | -0.055***<br>(-2.75) | -0.073**<br>(-2.46)  | -0.022<br>(-0.71)    |
| Leverage                       |                      | 0.019<br>(1.47)      | 0.019<br>(1.48)      | 0.012<br>(1.09)      | 0.072<br>(1.46)      |
| Sales Growth                   |                      | -0.039<br>(-1.50)    | -0.038<br>(-1.49)    | -0.022<br>(-0.66)    | -0.059<br>(-1.43)    |
| Ind_ROE                        |                      | -0.046***<br>(-3.63) | -0.046***<br>(-3.59) | -0.064***<br>(-3.61) | -0.022<br>(-1.18)    |
| Analyst Coverage               |                      | -0.015***<br>(-5.65) | -0.015***<br>(-5.68) | -0.013***<br>(-3.43) | -0.020***<br>(-5.01) |
| Equity Turnover                |                      | 0.006<br>(0.97)      | 0.006<br>(0.95)      | 0.009<br>(0.98)      | 0.006<br>(0.64)      |
| Ln(Firm Age)                   |                      | 0.168***<br>(3.20)   | 0.167***<br>(3.18)   | 0.052<br>(0.70)      | 0.255***<br>(3.37)   |
| Big4 Auditor                   |                      | -0.141*<br>(-1.76)   | -0.141*<br>(-1.76)   | 0.010<br>(0.09)      | -0.286***<br>(-2.60) |
| Constant                       | -0.486<br>(-6.43)    | 0.461<br>(0.98)      | 0.440<br>(0.93)      | 1.171*<br>(1.77)     | -0.660<br>(-0.92)    |
| Industry Fixed Effects         | Yes                  | Yes                  | Yes                  | Yes                  | Yes                  |
| Year Fixed Effects             | Yes                  | Yes                  | Yes                  | Yes                  | Yes                  |
| No. of Observations            | 13,164               | 13,164               | 13,164               | 6,266                | 6,898                |
| pseudo $R^2$                   | 0.029                | 0.079                | 0.079                | 0.068                | 0.092                |
| $\chi^2$                       | 356.700***           | 698.012***           | 704.612***           | 296.931***           | 427.795***           |

**Table 6: Effect of corporate secretary tenure using instrument variable analysis**

This table reports the 2-stage mixed regression results for the effect of duration of corporate secretary's work tenure with a firm on *Board Meeting Frequency*, *Outside Director Dissent* and *Fraud\_Lawsuit* for Chinese A-share listed firms from 2004 to 2012. Model specifications are similar to the ones reported in Tables 3, 4 and 5. Additionally, to address the potential endogeneity problem, an instrument variable *i.e. Secretary Certificate* is included in the first stage of the estimation. We control for industry and year fixed effects across all the regression models. Wald Chi<sup>2</sup> values across all the regression models are reported. Values in parenthesis below each coefficient are their respective robust t-statistics, clustered at firm-level. Detailed definitions of all variables are reported in Appendix A1. \*\*\*, \*\*, \* indicates significance at 1%, 5%, and 10% level respectively.

|                             | <u>Board Meeting Frequency</u> |                      | <u>Outside Director Dissent</u> |                      | <u>Fraud_Lawsuit</u> |                      |
|-----------------------------|--------------------------------|----------------------|---------------------------------|----------------------|----------------------|----------------------|
|                             | Full Sample                    |                      | Full Sample                     |                      | Full Sample          |                      |
|                             | (1)                            | (2)                  | (3)                             | (4)                  | (5)                  | (6)                  |
| Ln(Secretary Tenure)        | -0.380<br>(-1.55)              | -0.451**<br>(-2.27)  | -0.139***<br>(-3.93)            | -0.109***<br>(-2.95) | -0.144***<br>(-5.26) | -0.095***<br>(-3.03) |
| Board Independence          |                                | -0.195<br>(-0.19)    |                                 | -0.173<br>(-0.32)    |                      | 0.030<br>(0.09)      |
| Board Size                  |                                | -0.096***<br>(-2.97) |                                 | 0.010<br>(0.69)      |                      | 0.010<br>(1.08)      |
| Ownership Concentration     |                                | -0.153<br>(-0.35)    |                                 | -0.053<br>(-0.23)    |                      | -0.344***<br>(-2.63) |
| BTMV                        |                                | -0.075<br>(-0.36)    |                                 | -0.201*<br>(-1.68)   |                      | -0.687***<br>(-8.07) |
| Ln(Market Value)            |                                | 0.511***<br>(8.89)   |                                 | -0.073**<br>(-2.20)  |                      | -0.098***<br>(-4.48) |
| Leverage                    |                                | -0.001<br>(-1.33)    |                                 | -0.002**<br>(-2.53)  |                      | 0.078<br>(1.35)      |
| Sales Growth                |                                | 0.240***<br>(4.57)   |                                 | -0.031<br>(-0.64)    |                      | 0.030<br>(1.25)      |
| Ind_ROE                     |                                | -0.278<br>(-1.46)    |                                 | -0.353***<br>(-3.23) |                      | -0.366***<br>(-5.03) |
| Equity Turnover             |                                | 0.016<br>(0.93)      |                                 | -0.033**<br>(-2.11)  |                      | -0.000<br>(-0.02)    |
| Ln(Firm Age)                |                                | 0.425***<br>(2.69)   |                                 | -0.007<br>(-0.00)    |                      | 0.223***<br>(4.11)   |
| Big4 Auditor                |                                | -0.051<br>(-0.22)    |                                 | -0.183<br>(-1.50)    |                      | -0.139<br>(-1.75)    |
| Dissent                     |                                |                      |                                 | 0.027***<br>(3.36)   |                      | 0.038***<br>(7.07)   |
| Board Meeting Frequency     |                                |                      |                                 |                      |                      | 0.440***<br>(6.42)   |
| CEO Duality                 |                                |                      |                                 |                      |                      | 0.084*<br>(1.94)     |
| Analyst Coverage            |                                |                      |                                 |                      |                      | -0.012***<br>(-4.24) |
| Constant                    | 8.185***<br>(3.96)             | -0.652<br>(-0.41)    | -2.101***<br>(-16.74)           | -0.603<br>(-0.75)    | -0.486***<br>(-6.09) | 1.030*<br>(1.70)     |
| <u>Ln(Secretary Tenure)</u> |                                |                      |                                 |                      |                      |                      |
| Secretary Certificate       | -0.031*<br>(-1.86)             | -0.031*<br>(-1.86)   | -0.031*<br>(-1.86)              | -0.031*<br>(-1.86)   | -0.031*<br>(-1.86)   | -0.031*<br>(-1.86)   |
| Constant                    | 1.376***<br>(94.99)            | 1.376***<br>(94.99)  | 1.376***<br>(94.99)             | 1.376***<br>(94.99)  | 1.376***<br>(94.99)  | 1.376***<br>(94.99)  |
| Industry Fixed Effects      | Yes                            | Yes                  | Yes                             | Yes                  | Yes                  | Yes                  |
| Year Fixed Effects          | Yes                            | Yes                  | Yes                             | Yes                  | Yes                  | Yes                  |
| No. of Observations         | 13,164                         | 13,164               | 13,164                          | 13,164               | 13,164               | 13,164               |
| Chi <sup>2</sup>            | 1366.901***                    | 1434.157***          | 905.470***                      | 2015.472***          | 968.183***           | 14656.043***         |

**Table 7: Effect of corporate secretary tenure on the absence of outside director from board meeting**

This table reports the pooled OLS regression results for the effect of duration of corporate secretary's work tenure with a firm on outside director's absence from board meetings for Chinese A-share listed firms from 2004 to 2012. Model 1 and 2 reports OLS regression results for the secretary tenure as key independent variable for the full sample without and with control variables respectively. Model 3 and 4 splits the sample by the level of state ownership. We control for industry and year fixed effects across all the regression models. Adjusted  $R^2$  and F-Values across all the regression models are reported. Values in parenthesis below each coefficient are their respective robust t-statistics, clustered at firm-level. Detailed definitions of all variables are reported in Appendix A1. \*\*\*, \*\*, \* indicates significance at 1%, 5%, and 10% level respectively.

|                         | Outside Director Absence Ratio |                     |                     |                    |
|-------------------------|--------------------------------|---------------------|---------------------|--------------------|
|                         | Full Sample                    | Full Sample         | Non-SOEs            | SOEs               |
|                         | (1)                            | (2)                 | (3)                 | (4)                |
| Ln(Secretary Tenure)    | -0.002*<br>(-1.65)             | -0.002*<br>(-1.70)  | -0.004**<br>(-2.14) | -0.001<br>(-0.45)  |
| Board Independence      |                                | -0.040*<br>(-1.74)  | -0.026<br>(-0.77)   | -0.044<br>(-1.41)  |
| Board Size              |                                | 0.002*<br>(1.85)    | 0.002<br>(1.76)     | 0.001<br>(1.13)    |
| Ownership Concentration |                                | -0.013<br>(-1.07)   | -0.020<br>(-1.17)   | -0.002<br>(-0.11)  |
| BTMV                    |                                | -0.000<br>(-0.10)   | -0.008<br>(-1.07)   | 0.004<br>(0.75)    |
| Ln(Market Value)        |                                | -0.004*<br>(-1.94)  | 0.001<br>(0.19)     | -0.009<br>(-2.88)  |
| Leverage                |                                | 0.017***<br>(11.33) | 0.020***<br>(10.61) | -0.014<br>(-0.37)  |
| Sales Growth            |                                | 0.001<br>(0.75)     | 0.000<br>(0.01)     | 0.002<br>(1.22)    |
| Ind_ROE                 |                                | -0.002*<br>(-1.66)  | -0.000<br>(-0.10)   | -0.003*<br>(-1.95) |
| Equity Turnover         |                                | -0.000<br>(-1.12)   | -0.000<br>(-0.45)   | -0.000<br>(-1.13)  |
| Ln(Firm Age)            |                                | -0.011<br>(-0.86)   | -0.052**<br>(-2.05) | 0.013<br>(0.95)    |
| Big4 Auditor            |                                | -0.001<br>(-0.25)   | 0.004<br>(0.72)     | -0.004<br>(-0.77)  |
| Constant                | 0.068***<br>(30.35)            | 0.177***<br>(2.88)  | 0.190**<br>(2.02)   | 0.259***<br>(3.54) |
| Industry Fixed Effects  | Yes                            | Yes                 | Yes                 | Yes                |
| Year Fixed Effects      | Yes                            | Yes                 | Yes                 | Yes                |
| No. of Observations     | 13,164                         | 13,164              | 6,266               | 6,898              |
| adj. $R^2$              | 0.136                          | 0.138               | 0.128               | 0.148              |
| F-Value                 | 82.958***                      | 63.078***           | 38.347***           | 26.166***          |

**Table 8: Effect of corporate secretary tenure on analyst coverage**

This table reports the pooled OLS regression results for the effect of duration of corporate secretary's work tenure with a firm on analyst coverage for Chinese A-share listed firms from 2004 to 2012. Model 1 and 2 reports OLS regression results for the secretary tenure as key independent variable for the full sample without and with control variables respectively. Model 3 and 4 splits the sample by the level of state ownership. We control for industry and year fixed effects across all the regression models. Adjusted  $R^2$  and F-Values across all the regression models are reported. Values in parenthesis below each coefficient are their respective robust t-statistics, clustered at firm-level. Detailed definitions of all variables are reported in Appendix A1. \*\*\*, \*\*, \* indicates significance at 1%, 5%, and 10% level respectively.

|                         | Analyst Coverage |             |             |            |
|-------------------------|------------------|-------------|-------------|------------|
|                         | Full Sample      | Full Sample | Non-SOEs    | SOEs       |
|                         | (1)              | (2)         | (3)         | (4)        |
| Ln(Secretary Tenure)    | 0.177*           | 0.240**     | 0.261**     | 0.222*     |
|                         | (1.69)           | (2.57)      | (2.21)      | (1.66)     |
| Board Independence      |                  | -0.099      | -1.542      | 0.703      |
|                         |                  | (-0.06)     | (-0.76)     | (0.29)     |
| Board Meeting Frequency |                  | 0.048**     | 0.014       | 0.084***   |
|                         |                  | (2.23)      | (0.51)      | (2.61)     |
| Board Size              |                  | 0.094       | 0.211***    | 0.005      |
|                         |                  | (1.34)      | (2.35)      | (0.05)     |
| Ownership Concentration |                  | 3.099***    | 2.206       | 3.376**    |
|                         |                  | (2.96)      | (1.62)      | (2.07)     |
| BTMV                    |                  | -1.314***   | -1.378**    | -1.355***  |
|                         |                  | (-3.53)     | (-2.47)     | (-2.75)    |
| Ln(Market Value)        |                  | 4.624***    | 4.973***    | 4.366***   |
|                         |                  | (21.20)     | (17.87)     | (13.22)    |
| Leverage                |                  | 0.010***    | 0.011***    | -0.063     |
|                         |                  | (9.16)      | (12.19)     | (-1.46)    |
| Sales Growth            |                  | -0.585***   | -0.489***   | -0.685***  |
|                         |                  | (-7.95)     | (-5.40)     | (-5.87)    |
| Ind_ROE                 |                  | 0.063*      | 0.026       | 0.111**    |
|                         |                  | (1.72)      | (0.53)      | (2.09)     |
| Equity Turnover         |                  | -0.147***   | -0.143***   | -0.151***  |
|                         |                  | (-6.66)     | (-4.69)     | (-4.77)    |
| Ln(Firm Age)            |                  | 3.281***    | 2.691*      | 2.688*     |
|                         |                  | (2.99)      | (1.65)      | (1.87)     |
| Big4 Auditor            |                  | 0.081       | -0.109      | 0.229      |
|                         |                  | (0.21)      | (-0.21)     | (0.44)     |
| Constant                | 3.090***         | -106.729*** | -109.349*** | -99.568*** |
|                         | (17.40)          | (-20.95)    | (-16.43)    | (-14.33)   |
| Industry Fixed Effects  | Yes              | Yes         | Yes         | Yes        |
| Year Fixed Effects      | Yes              | Yes         | Yes         | Yes        |
| No. of Observations     | 13,164           | 13,164      | 6,266       | 6,898      |
| adj. $R^2$              | 0.237            | 0.359       | 0.351       | 0.370      |
| F-Value                 | 94.319***        | 64.239***   | 28.497***   | 40.860***  |

**Table 9: Effect of corporate secretary tenure on number of mutual funds investing in the firm**

This table reports the pooled OLS regression results for the effect of duration of corporate secretary's work tenure on the number of mutual funds investing in the respective firm for Chinese A-share listed firms from 2004 to 2012. Model 1 and 2 reports OLS regression results for the secretary tenure as key independent variable for the full sample without and with control variables respectively. Model 3 and 4 splits the sample by the level of state ownership. We control for industry and year fixed effects across all the regression models. Adjusted  $R^2$  and F-Values across all the regression models are reported. Values in parenthesis below each coefficient are their respective robust t-statistics, clustered at firm-level. Detailed definitions of all variables are reported in Appendix A1. \*\*\*, \*\*, \* indicates significance at 1%, 5%, and 10% level respectively.

|                         | No. of Mutual Funds  |                         |                         |                         |
|-------------------------|----------------------|-------------------------|-------------------------|-------------------------|
|                         | Full Sample          | Full Sample             | Non-SOEs                | SOEs                    |
|                         | (1)                  | (2)                     | (3)                     | (4)                     |
| Ln(Secretary Tenure)    | 0.728**<br>(2.16)    | 0.469**<br>(1.96)       | 0.731***<br>(2.32)      | 0.289<br>(0.86)         |
| Board Independence      |                      | 4.681<br>(1.24)         | 9.639*<br>(1.87)        | -0.026<br>(-0.00)       |
| Board Meeting Frequency |                      | -0.038<br>(-0.65)       | 0.014<br>(0.18)         | -0.081<br>(-0.94)       |
| Board Size              |                      | 0.068<br>(0.40)         | 0.160<br>(0.70)         | -0.024<br>(-0.10)       |
| Ownership Concentration |                      | -10.755***<br>(-3.84)   | -9.188***<br>(-2.75)    | -13.799***<br>(-2.98)   |
| BTMV                    |                      | -11.542***<br>(-11.33)  | -6.711***<br>(-4.84)    | -14.894***<br>(-10.66)  |
| Ln(Market Value)        |                      | 12.686***<br>(19.36)    | 10.168***<br>(12.34)    | 14.912***<br>(15.28)    |
| Leverage                |                      | 0.022***<br>(10.59)     | 0.019***<br>(8.24)      | -0.142<br>(-0.95)       |
| Sales Growth            |                      | -1.568***<br>(-7.61)    | -1.325***<br>(-5.46)    | -1.875***<br>(-5.56)    |
| Ind_ROE                 |                      | 0.103<br>(1.13)         | -0.003<br>(-0.02)       | 0.163<br>(1.26)         |
| Equity Turnover         |                      | -0.813***<br>(-11.12)   | -0.748***<br>(-8.08)    | -0.875***<br>(-7.68)    |
| Analyst Coverage        |                      | 1.373***<br>(24.85)     | 1.466***<br>(16.81)     | 1.324***<br>(18.84)     |
| Ln(Firm Age)            |                      | -3.133<br>(-1.17)       | -1.967<br>(-0.46)       | -3.992<br>(-1.19)       |
| Big4 Auditor            |                      | 2.155*<br>(1.87)        | 0.813<br>(0.50)         | 2.853*<br>(1.87)        |
| Constant                | 11.383***<br>(19.38) | -260.308***<br>(-17.41) | -203.466***<br>(-10.62) | -288.142***<br>(-14.43) |
| Industry Fixed Effects  | Yes                  | Yes                     | Yes                     | Yes                     |
| Year Fixed Effects      | Yes                  | Yes                     | Yes                     | Yes                     |
| No. of Observations     | 13,164               | 13,164                  | 6,266                   | 6,898                   |
| adj. $R^2$              | 0.197                | 0.516                   | 0.528                   | 0.515                   |
| F-Value                 | 74.351***            | 92.536***               | 38.277***               | 61.795***               |

**Table 10: Effect of corporate secretary tenure on alternative internal quality control governance measures**

This table reports the probit regression results for the effect of duration of corporate secretary's work tenure with a firm on its possibility of receiving an enforcement against fraud by the regulators, incidence of real fraud happening, involvement in a lawsuit, and incidence of receiving a modified auditor opinions for Chinese A-share listed firms from 2004 to 2012. Pseudo R<sup>2</sup> and Wald Chi<sup>2</sup> values across all the regression models are reported. Values in parenthesis below each coefficient are their respective robust t-statistics, clustered at firm-level. To reduce endogeneity problem, all independent variables are lagged by one year. Detailed definitions of all variables are reported in Appendix A1. \*\*\*, \*\*, \* indicates significance at 1%, 5%, and 10% level respectively.

|                         | <u>Fraud</u>          |                      | <u>Fraud Happen</u>   |                     | <u>Lawsuit</u>        |                      | <u>Modified Auditor Opinion</u> |                      |
|-------------------------|-----------------------|----------------------|-----------------------|---------------------|-----------------------|----------------------|---------------------------------|----------------------|
|                         | Full Sample           |                      | Full Sample           |                     | Full Sample           |                      | Full Sample                     |                      |
|                         | (1)                   | (2)                  | (3)                   | (4)                 | (5)                   | (6)                  | (7)                             | (8)                  |
| Ln(Secretary Tenure)    | -0.116***<br>(-5.51)  | -0.087***<br>(-4.03) | -0.076***<br>(-3.38)  | -0.050**<br>(-2.22) | -0.120***<br>(-4.74)  | -0.081***<br>(-3.28) | -0.116**<br>(-2.56)             | -0.082*<br>(-1.81)   |
| Dissent                 |                       | 0.502***<br>(6.44)   |                       | 0.242***<br>(2.97)  |                       | 0.527***<br>(6.74)   |                                 | 0.237**<br>(2.01)    |
| Board Independence      |                       | -0.211<br>(-0.60)    |                       | -0.083<br>(-0.21)   |                       | 0.093<br>(0.22)      |                                 | 0.085<br>(0.12)      |
| Board Meeting Frequency |                       | 0.021***<br>(3.96)   |                       | 0.013**<br>(2.17)   |                       | 0.035***<br>(5.65)   |                                 | 0.025*<br>(1.95)     |
| Board Size              |                       | 0.005<br>(0.43)      |                       | 0.033**<br>(2.52)   |                       | 0.003<br>(0.28)      |                                 | 0.004<br>(0.17)      |
| CEO Duality             |                       | 0.103**<br>(2.43)    |                       | 0.171***<br>(3.28)  |                       | 0.032<br>(0.58)      |                                 | 0.153*<br>(1.73)     |
| Ownership Concentration |                       | -0.239*<br>(-1.77)   |                       | -0.200<br>(-1.25)   |                       | -0.585***<br>(-3.59) |                                 | -0.685***<br>(-2.30) |
| BTMV                    |                       | -0.360***<br>(-4.29) |                       | -0.140<br>(-1.57)   |                       | -0.799***<br>(-8.05) |                                 | -0.941**<br>(-5.42)  |
| Ln(Market Value)        |                       | -0.079***<br>(-3.41) |                       | -0.134**<br>(-5.09) |                       | -0.005<br>(-0.21)    |                                 | -0.035<br>(-0.58)    |
| Leverage                |                       | -0.001<br>(-0.93)    |                       | -0.002*<br>(-1.78)  |                       | 0.018*<br>(1.80)     |                                 | -0.000<br>(-0.28)    |
| Sales Growth            |                       | -0.052*<br>(-1.68)   |                       | -0.008<br>(-0.32)   |                       | -0.064*<br>(-1.84)   |                                 | -0.199**<br>(-2.43)  |
| Ind_ROE                 |                       | -0.029*<br>(-1.85)   |                       | -0.037**<br>(-2.80) |                       | -0.040***<br>(-2.97) |                                 | -0.037**<br>(-2.22)  |
| Analyst Coverage        |                       | -0.009***<br>(-3.29) |                       | -0.006**<br>(-2.15) |                       | -0.019***<br>(-5.01) |                                 | -0.050**<br>(-3.42)  |
| Equity Turnover         |                       | 0.011<br>(1.51)      |                       | 0.013*<br>(1.82)    |                       | 0.009<br>(1.17)      |                                 | -0.003<br>(-0.25)    |
| Ln(Firm Age)            |                       | 0.041<br>(0.71)      |                       | 0.130*<br>(1.86)    |                       | 0.241***<br>(3.63)   |                                 | 0.178<br>(1.46)      |
| Big4 Auditor            |                       | -0.183*<br>(-1.93)   |                       | -0.292**<br>(-3.15) |                       | -0.099<br>(-1.05)    |                                 | 0.018<br>(0.11)      |
| Constant                | -0.863***<br>(-11.18) | 0.846<br>(1.61)      | -1.027***<br>(-10.75) | 1.261**<br>(2.10)   | -1.100***<br>(-12.83) | -1.428**<br>(-2.44)  | -2.264**<br>(-13.77)            | -1.519<br>(-1.12)    |
| Industry Fixed Effects  | Yes                   | Yes                  | Yes                   | Yes                 | Yes                   | Yes                  | Yes                             | Yes                  |
| Year Fixed Effects      | Yes                   | Yes                  | Yes                   | Yes                 | Yes                   | Yes                  | Yes                             | Yes                  |
| No. of Observations     | 13,163                | 13,163               | 13,164                | 13,164              | 13,164                | 13,164               | 13,164                          | 13,164               |
| pseudo R2               | 0.039                 | 0.070                | 0.013                 | 0.042               | 0.073                 | 0.135                | 0.071                           | 0.165                |
| Chi2                    | 255.850**             | 470.921**            | 95.520***             | 236.946*            | 573.811***            | 805.049**            | 169.244***                      | 265.578**            |

**Table 11: Effect of corporate secretary duality on incidence of corporate fraud and lawsuit**

This table reports the probit regression results for the effect of corporate secretary duality as director or as executive on its possibility of receiving an enforcement against fraud by the regulators or being involved in a lawsuit for Chinese A-share listed firms from 2004 to 2012. Model 1 and 2 reports probit regression results for *Duality as Director* without and with control variables respectively; Model 3 and 4 reports probit regression results for *Duality as Executive* without and with control variables respectively. Pseudo  $R^2$  and Wald  $\chi^2$  values across all the regression models are reported. Values in parenthesis below each coefficient are their respective robust t-statistics, clustered at firm-level. To reduce endogeneity problem, all independent variables are lagged by one year. Detailed definitions of all variables are reported in Appendix A1. \*\*\*, \*\*, \* indicates significance at 1%, 5%, and 10% level respectively.

|                         | <u>Fraud Lawsuit</u> |                      |                      |                      |
|-------------------------|----------------------|----------------------|----------------------|----------------------|
|                         | Full Sample          | Full Sample          | Full Sample          | Full Sample          |
|                         | (1)                  | (2)                  | (3)                  | (4)                  |
| Duality as Director     | -0.189**<br>(-2.07)  | -0.237**<br>(-2.55)  |                      |                      |
| Duality as Executive    |                      |                      | 0.238**<br>(2.51)    | 0.255***<br>(2.62)   |
| Ln(Secretary Tenure)    |                      | -0.099***<br>(-5.12) |                      | -0.099***<br>(-5.11) |
| Dissent                 |                      | 0.533***<br>(7.61)   |                      | 0.531***<br>(7.58)   |
| Board Independence      |                      | -0.123<br>(-0.37)    |                      | -0.114<br>(-0.34)    |
| Board Meeting Frequency |                      | 0.030***<br>(5.79)   |                      | 0.030***<br>(5.81)   |
| Board Size              |                      | 0.011<br>(1.13)      |                      | 0.011<br>(1.14)      |
| CEO Duality             |                      | 0.099**<br>(2.38)    |                      | 0.099**<br>(2.38)    |
| BTMV                    |                      | -0.650***<br>(-8.17) |                      | -0.649***<br>(-8.16) |
| Ln(Market Value)        |                      | -0.054***<br>(-2.70) |                      | -0.054***<br>(-2.68) |
| Leverage                |                      | 0.019<br>(1.47)      |                      | 0.019<br>(1.47)      |
| Ind_ROE                 |                      | -0.047***<br>(-3.65) |                      | -0.045***<br>(-3.53) |
| Ownership Concentration |                      | -0.483***<br>(-3.72) |                      | -0.483***<br>(-3.73) |
| Sales Growth            |                      | -0.039<br>(-1.53)    |                      | -0.040<br>(-1.53)    |
| Analyst Coverage        |                      | -0.015***<br>(-5.73) |                      | -0.015***<br>(-5.74) |
| Equity Turnover         |                      | 0.006<br>(0.97)      |                      | 0.006<br>(0.98)      |
| Ln(Firm Age)            |                      | 0.172***<br>(3.25)   |                      | 0.171***<br>(3.25)   |
| Big4 Auditor            |                      | -0.138*<br>(-1.73)   |                      | -0.138*<br>(-1.73)   |
| Constant                | -0.481***<br>(-4.16) | 0.656<br>(1.37)      | -0.670***<br>(-9.50) | 0.411<br>(0.87)      |
| Industry Fixed Effects  | Yes                  | Yes                  | Yes                  | Yes                  |
| Year Fixed Effects      | Yes                  | Yes                  | Yes                  | Yes                  |
| No. of Observations     | 13,164               | 13,164               | 13,164               | 13,164               |
| pseudo $R^2$            | 0.025                | 0.080                | 0.024                | 0.080                |
| Chi2                    | 322.330***           | 697.159***           | 320.939***           | 698.527***           |



**Table 12: Effect of corporate fraud and lawsuit on corporate secretary turnover**

This table reports the probit regression results for the effect of the possibility of receiving an enforcement against fraud by the regulators or being involved in a lawsuit on corporate secretary turnover for Chinese A-share listed firms from 2004 to 2012. Model 1 and 2 reports probit regression results for the *Fraud\_Lawsuit* as key independent variable for the full sample without and with control variables respectively. Model 3 and 4 splits the sample by the level of state ownership. We control for industry and year fixed effects across all the regression models. Pseudo  $R^2$  and Wald  $\chi^2$  values across all the regression models are reported. Values in parenthesis below each coefficient are their respective robust t-statistics, clustered at firm-level. Detailed definitions of all variables are reported in Appendix A1. \*\*\*, \*\*, \* indicates significance at 1%, 5%, and 10% level respectively.

|                         | <u>Secretary Turnover</u> |                      |                      |                     |
|-------------------------|---------------------------|----------------------|----------------------|---------------------|
|                         | Full Sample               | Full Sample          | Non-SOEs             | SOEs                |
|                         | (1)                       | (2)                  | (3)                  | (4)                 |
| Fraud_Lawsuit           | 0.113***<br>(3.18)        | 0.099***<br>(2.69)   | 0.105**<br>(2.14)    | 0.083<br>(1.47)     |
| Board Independence      |                           | 0.417<br>(1.35)      | 0.160<br>(0.34)      | 0.556<br>(1.34)     |
| Board Meeting Frequency |                           | 0.003<br>(0.65)      | 0.003<br>(0.45)      | 0.002<br>(0.33)     |
| Board Size              |                           | -0.006<br>(-0.77)    | -0.016<br>(-1.22)    | 0.000<br>(0.01)     |
| Ownership Concentration |                           | -0.177<br>(-1.56)    | -0.239<br>(-1.49)    | -0.187<br>(-1.10)   |
| BTMV                    |                           | 0.002<br>(0.04)      | 0.050<br>(0.53)      | -0.054<br>(-0.64)   |
| Ln(Market Value)        |                           | -0.017<br>(-0.80)    | -0.042<br>(-1.26)    | 0.003<br>(0.11)     |
| Leverage                |                           | -0.002***<br>(-2.00) | -0.012<br>(-0.68)    | 0.012***<br>(2.74)  |
| Sales Growth            |                           | 0.032<br>(1.22)      | 0.051<br>(1.46)      | 0.008<br>(0.19)     |
| Ind_ROE                 |                           | -0.038***<br>(-2.61) | -0.052***<br>(-2.60) | -0.023<br>(-1.07)   |
| Analyst Coverage        |                           | -0.004<br>(-1.60)    | -0.010***<br>(-2.35) | -0.000<br>(-0.12)   |
| No. of Mutual Funds     |                           | 0.001<br>(0.77)      | 0.003*<br>(1.77)     | -0.000<br>(-0.41)   |
| Equity Turnover         |                           | -0.000<br>(-0.07)    | -0.002<br>(-0.24)    | 0.001<br>(0.14)     |
| Ln(Firm Age)            |                           | -0.064<br>(-1.47)    | -0.145**<br>(-2.14)  | -0.016<br>(-0.28)   |
| Big4 Auditor            |                           | 0.084<br>(1.39)      | 0.022<br>(0.22)      | 0.096<br>(1.25)     |
| Constant                | -1.172***<br>(-20.48)     | -0.669<br>(-1.42)    | 0.299<br>(0.40)      | -1.318**<br>(-2.07) |
| Industry Fixed Effects  | Yes                       | Yes                  | Yes                  | Yes                 |
| Year Fixed Effects      | Yes                       | Yes                  | Yes                  | Yes                 |
| No. of Observations     | 13,164                    | 13,164               | 6,266                | 6,898               |
| pseudo $R^2$            | 0.004                     | 0.006                | 0.011                | 0.006               |
| Chi2                    | 34.828***                 | 61.817***            | 48.116***            | 40.379***           |

## Appendix A1: Variable definitions

| <u>Variables</u>         | <u>Definition</u>                                                                                                                                                                                                                                                                             |
|--------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Ln(Secretary Tenure)     | Natural logarithm of the number of year's corporate secretary has served in the said capacity with the firm.                                                                                                                                                                                  |
| Board Meeting Frequency  | Number of times corporate board meeting took place in a financial year.                                                                                                                                                                                                                       |
| Outside Director Dissent | A dummy variable, which equals to 1 if there is at least one outside director issued dissent opinion to board proposal during the board meeting in the year, otherwise 0.                                                                                                                     |
| Fraud_Lawsuit            | A dummy variable, which equals to 1 if the firm received at least one enforcement against fraud by the regulator or were involved in the lawsuit during the financial year, otherwise 0.                                                                                                      |
| Fraud                    | A dummy variable, which equals to 1 if the firm received at least one enforcement against fraud by the regulator during the financial year, otherwise 0.                                                                                                                                      |
| Fraud Happen             | A dummy variable, which equals to 1 if at least one fraud happened in the firm in the fiscal year, otherwise 0.                                                                                                                                                                               |
| Lawsuit                  | A dummy variable, which equals to 1 if the firm was involved in at least one lawsuit during the financial year, otherwise 0.                                                                                                                                                                  |
| Outside Director Absence | The ratio of outside director absence behaviour from the board meeting. It is equal to the total number of outside directors absent from board meeting (including representative attendance) divided by the total meeting outside directors are required to attend during the financial year. |
| Analyst Coverage         | Total number of analysts covering the firm during the financial year.                                                                                                                                                                                                                         |
| No. of Mutual Funds      | Number of Mutual Funds as the shareholder of the firm in a fiscal year.                                                                                                                                                                                                                       |
| Modified Auditor Opinion | A dummy variable, which equals to 1 if the firm receives modified auditor opinions in the year, otherwise 0.                                                                                                                                                                                  |
| Secretary Turnover       | A dummy variable, which equals to 1 if the firm has a change in corporate secretary during the financial year, otherwise 0.                                                                                                                                                                   |
| Board Independence       | Number of outside directors divided by the board size.                                                                                                                                                                                                                                        |
| CEO Duality              | A dummy variable, which equals to 1 if the CEO is also the chairman of the board, otherwise 0.                                                                                                                                                                                                |
| Board Size               | Number of directors on the firm's board at the end of the financial year.                                                                                                                                                                                                                     |
| Ownership Concentration  | Ownership concentration of the ten largest shareholders in the firm.                                                                                                                                                                                                                          |
| BTMV                     | Book value divided by the market value of the firm at the end of the financial year.                                                                                                                                                                                                          |
| Ln(Market Value)         | Natural logarithm of the total market value of the firm at the end of the financial year.                                                                                                                                                                                                     |
| Leverage                 | Total debt divided by total asset of the firm at the end of the financial year.                                                                                                                                                                                                               |
| Sales Growth             | Relative growth in sales during the financial year.                                                                                                                                                                                                                                           |
| Ind_ROE                  | Industry adjusted return on equity, <i>i.e.</i> net income divided by the average total equity of the current and last fiscal year minus the annual industry mean value.                                                                                                                      |
| Equity Turnover          | Trading turnover ratio of the firm's stock during the financial year.                                                                                                                                                                                                                         |
| Ln(Firm Age)             | Natural logarithm of the number of years since the firm was founded / incorporated.                                                                                                                                                                                                           |
| Big4 Auditor             | A dummy variable, which equals to 1 if the auditor of the firm is one of the Big-4 accounting and auditing firms in the year, otherwise 0.                                                                                                                                                    |
| SOE                      | A dummy variable, which equals to 1 if the government is the controlling shareholder in the firm, otherwise 0.                                                                                                                                                                                |